No. 18-0918

In the Supreme Court of the United States

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER,

v.

MILTON WEINBERG, RESPONDENT,

On Writ of Certiorari to the United States Court of Appeals for the Thirteenth Circuit

BRIEF FOR PETITIONER

47

Counsel for Petitioner

January 21, 2019

QUESTION PRESENTED

1. Is § 362(a)(3) of the Bankruptcy Code violated when a secured creditor retains possession of estate property repossessed from the debtor prior to the petition date?
2. Does § 503(b) of the Bankruptcy Code permit a court to grant a creditor an administrative expense for a substantial contribution to the estate in a Chapter 7 case despite the language of § 503(b)(3)(D) mentioning such recovery only in Chapter 9 or Chapter 11 cases?

TABLE OF CONTENTS

QUESTION PRESENTED i

TABLE OF AUTHORITIES iv

OPINIONS BELOW 1

STATEMENT OF JURISDICTION 1

STATUTORY PROVISIONS INVOLVED 1

STATEMENT OF THE CASE 1

A. Backstreets Plowing, Inc.'s Loan from Milton Weinberg 1

B. Backstreet Plowing's Petition for Chapter 11 Protection and Respondent's Refusal to Return the Snow Plow Trucks 2

C. Backstreet Plowing, Inc.'s Voluntary Conversion of the Case to Chapter 7 and the Liquidation of the Estate 3

D. Respondent's Efforts to Collect on His 2016 Judgment and Discovery of a Fraudulent Transfer 4

E. The Trustee's Appeal to the Thirteenth Circuit 5

SUMMARY OF ARGUMENT 6

ARGUMENT 9

I. The Thirteenth Circuit's Opinion is Inconsistent with the Text, History, and Purpose of Section 362(a)(3) 9

A. The Opinion Below Contradicts the Plain Meaning of the Bankruptcy Code, Which Defines Estate Property Seized Prepetition Within the Scope of the Automatic Stay 10

B. The Opinion Below Ignores the Legislative History, Which Demonstrates Congressional Intent to Expand the Scope of the Automatic Stay to Reach the Retention of Property 13

C. The Opinion Below Proposes an Unnecessary and Unsupportable Tradeoff Between the Automatic Stay and the Turnover Power 14

D. The Majority Approach is Consistent with the Purposes of the Bankruptcy Code as a Whole 16

II. The Bankruptcy Code Does Not Permit Substantial Contribution Administrative Expenses for Creditors in Chapter 7 Cases 19

A. The Text of the Bankruptcy Code Denies Respondent an Administrative Expense in a Chapter 7 Case 20

B. The Legislative History Supports Excluding Chapter 7 Cases from Section 503(b)(3)(D) 24

C. Excluding Substantial Contribution Administrative Expenses from Chapter 7 and Chapter 13 Cases Is Justified by Congress's Policy Choice 25

D. Reliance on Principles of Equity is a Mistake When Their Result Contradicts Congress 27

CONCLUSION 29

APPENDIX 30

TABLE OF AUTHORITIES

Cases

Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.), 991 F.2d 233 (5th Cir. 1993) 23

Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc.), 963 F.2d 1449 (11th Cir.1992) 23

Bachman v. Commercial Fin. Servs., Inc., (In re Commercial Fin. Servs., Inc.), 246 F.3d 1291 (10th Cir. 2001) 28

Conn. Nat. Bank v. Germain, 503 U.S. 249 (1992) 11

Grogan v. Garner, 498 U.S. 279 (1991) 16

Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A., 530 U.S. 1 (2000) 24

Hayden v. Wells (In re Hayden), 308 B.R. 428 (B.A.P. 9th Cir. 2004) 15

In re Castle Pines N. Metro. Dist., 129 B.R. 233 (Bankr. D. Colo. 1991) 26

In re Deval Corp., 592 B.R. 587 (Bankr. E.D. Pa. 2018) 25

In re FPMC Austin Realty Partners, LP, 573 B.R. 679 (Bankr. W.D. Tex. 2017) 26

In re Javed, 592 B.R. 615 (Bankr. D. Md. 2018) 20

In re Lloyd Sec., Inc., 75 F.3d 853 (3d Cir. 1996) 19

In re Peake, 588 B.R. 811, 832 (Bankr. N.D. Ill. 2018) 12

In re Trailer Source, Inc., 555 F.3d 231 (6th Cir. 2009) 26

Knaus v. Concordia Lumber Co., Inc. (In re Knaus), 889 F.2d 773 (8th Cir. 1989) 11, 18

Law v. Siegel, 571 U.S. 415 (2014) 27

Lebron v. Mechem Fin. Inc., 27 F.3d 937 (3d Cir. 1994) 19

Lewis v. *City of Chicago, Ill.*, 560 U.S. 205 (2010) 13, 14

Mediofactoring v. McDermott (In re Connolly N. Am., LLC), 802 F.3d 810 (6th Cir. 2015) ..... *passim*

Microsoft Corp. v. i4i Ltd. Partnership, 564 U.S. 91 (2011) 22

Mitchell v. BankIllinois, 316 B.R. 891 (S.D. Tex. 2004)..... 11

N.L.R.B. v. SW Gen., Inc., 137 S. Ct. 929 (2017) 23

Official Comm. of Unsecured Creditors of Cybergenics Corp. ex rel. Cybergenics Corp. v. Chinery, 330 F.3d 548 (3d Cir. 2003)..... 26

RadLAX Gateway Hotel, LLC v. Amalgamated Bank, 566 U.S. 639 (2012)..... 21, 28

Sharkey v. Stevenson and Bullock, PLC (In re Sharkey), No. 17-11237, 2017 WL 5476486 (E.D. Mich. Nov. 15, 2017)..... 20

State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.), 98 F.3d 1147 (9th Cir. 1996) 11, 13, 18

Stmima Co. v. Carrigg (In re Carrigg), 216 B.R. 303 (B.A.P. 1st Cir. 1998) 11

Thompson v. Gen. Motors Acceptance Corp., LLC, 566 F.3d 699 (7th Cir. 2009)... 11, 12, 13, 16, 17

TranSouth Fin. Co. v. Sharon (In re Sharon), 234 B.R. 676 (B.A.P. 6th Cir. 1999) 11

TRW Inc. v. Andrews, 534 U.S. 19 (2001)..... 22

United States v. Belkins, 304 U.S. 27 (1938)..... 25

United States v. Inslaw, Inc., 932 F.2d 1467 (D.C. Cir. 1991)..... 11

United States v. Whiting Pools, 462 U.S. 198 (1983)..... 6, 14, 15, 16

W.D. Equip., LLC v. Cowen (In re Cowen), 849 F.3d 943 (10th Cir. 2017) 11

Weber v. SEFCU (In re Weber), 719 F.3d 72 (2d Cir. 2013) 10, 11, 13, 15, 17

Yates v. United States, 135 S. Ct. 1074 (2015)..... 20

Statutes

§ 1129 20

§ 1302 25

§ 1326 25

§ 362 ..... *passim*

§ 363 ..... 6, 15

§ 503 ..... *passim*

§ 507 20

§ 541 10

§ 542 ..... 5, 6, 9, 14

§ 701 25

§ 702 25

§ 704 25

Secondary Sources

American Heritage Dictionary (5th Ed. 2019) 11

Baird, *Elements of Bankruptcy* (6th ed. 2014) 17

Black's Law Dictionary (9th ed. 2009) 12

Collier on Bankruptcy (16th 2018) 10, 25

Hon. Eugene R. Wedoff, *The Automatic Stay Under § 362 (a)(3) – One More Time*, 38 Bankr. L. Letter 7, July 2018 ..... 12, 15

Merriam-Webster's Collegiate Dictionary (11th Ed. 2003) 11

Restatement (First) of Security (1941) 15

Legislative Materials

H.R. Rep No. 95-595, at 355 (1977) 24

H.R. Rep. No. 95-595, at 340-41 (1977) 17

S. Rep No. 95-989 (1978) 24

OPINIONS BELOW

The Thirteenth Circuit's opinion (Pet. App. 2A–32A) is available at No. 17-0805 (13th Cir. Mar. 5, 2018).

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS INVOLVED

Sections 362(a), 363(e), 503, 541(a), and 542 of the Bankruptcy Code are reproduced in the appendix to this brief (Pet. App. 33A–41A).

STATEMENT OF THE CASE

A. Backstreets Plowing, Inc.'s Loan from Milton Weinberg

Backstreets Plowing, Inc. ("Debtor") was a seasonal snow plow business with a sole shareholder, Christopher Clemens ("Clemens"). Pet. App. 3A. In order to stay competitive, the Debtor required a capital investment in the form of new, efficient snow plow trucks. *Id*. With these trucks, the Debtor would be able to compete for a valuable plowing contract with the City of Badlands ("City"). *Id*. at 3A–4A. In order to make this investment, Clemens borrowed $450,000 from Milton Weinberg ("Respondent"), a bowling club acquaintance. *Id*. at 4A. In exchange for the cash, the Debtor granted Respondent a security interest in the trucks and Clemons personally guaranteed the loan. *Id*. With this money, the Debtor purchased new snow plow trucks and obtained the contract from the City. *Id*. According to their agreement, the Debtor would make monthly payments to Respondent beginning in December 2015. *Id*.

Unfortunately, shortly after the loan was made, Clemons and Respondent began fighting over college sports and stopped communicating. *Id*. at 4A–5A. While the Debtor had a profitable winter, the Debtor did not make a December 2015 loan payment to Respondent. *Id*. at 5A.

Respondent took great offense to this, repeatedly calling Clemons about the payment and even threatening him with legal action. *Id*. In April 2016, he made good on those threats and filed suit on the Debtor's note and Clemons's personal guarantee in the State of Moot Circuit Court. *Id*. In October 2016, Respondent obtained a default judgment against both the Debtor and Clemens, jointly and severally, for $450,000 plus interest and fees. *Id*.

Obtaining the judgment alone satisfied the Respondent's acrimony for the time being and he took no action to collect on his judgment until several months later. *Id*. at 5A–6A. At this time, it was the middle of a heavy winter and the Debtor was busy fulfilling its contract for the City. *Id*. In the midst of the Debtor's labor, the Respondent began efforts to collect on his judgment, hiring a repossession company to take the snow plow trucks from the Debtor. *Id*. at 6A. In January 2017, the company successfully repossessed the trucks from the Debtor's parking lot and delivered them to Respondent, who stored them in a warehouse where they remain to this day. *Id*. However, the Respondent took no further action to possess the snow plows. *Id*. at 6A n.4. Failing to foreclose on the trucks, legal title continues to remain in the Debtor's name. *Id*.

B. Backstreet Plowing's Petition for Chapter 11 Protection and Respondent's Refusal to Return the Snow Plow Trucks

With its means of business locked away, the Debtor was unable to complete its plowing contract with the City. *Id*. at 6A. In the face of a potential suit from the City, the Debtor filed a Chapter 11 petition on February 4, 2017. *Id*. In addition to Respondent (a secured creditor), there were other creditors of the estate. *Id*. at 8A.[1]

[1] The status of these additional creditors is unknown, but their existence is mentioned in the opinion below: "Convinced that Tenth Avenue's 'going concern' offer for the business was the best way to maximize value **for the benefit of the Debtor's creditors**, the Trustee attempted to negotiate with Weinberg for the return of the trucks." Pet. App. 8A (emphasis added).

Following the filing, Debtor's attorneys demanded Respondent return the snow plow trucks to Debtor. *Id*. at 6A The Respondent ignored the demand, claiming that Debtor was required to bring a turnover action in order to retain the trucks. *Id*. In response, Debtor filed a motion asking the bankruptcy court to declare Respondent's continued retention of the vehicles a violation of the automatic stay under § 362(a)(3).[2] *Id*. The bankruptcy court found it a difficult issue to resolve, but ultimately held that "mere retention of property lawfully repossessed prepetition is not an 'act to … exercise control over property of the estate' within the scope of § 362(a)(3)." *Id*. Debtor timely appealed the bankruptcy court's ruling. *Id*.

C. Backstreet Plowing, Inc.'s Voluntary Conversion of the Case to Chapter 7 and the Liquidation of the Estate

With the winter season ending and without resources to continue operation, Debtor voluntarily converted the case from Chapter 11 to Chapter 7. *Id*. at 6A–7A. On April 13, 2017, the trustee was appointed to administer Debtor's bankruptcy estate and liquidate its property for the benefit of all the estate's creditors. *Id*. at 7A–8A. As part of these efforts, the trustee pursued a "going concern" sale of substantially all of Debtor's assets to Tenth Avenue, a competitor plowing business. *Id*. at 8A. Tenth Avenue's offer was contingent upon the return of the trucks, as Tenth Avenue hoped to resume business and pursue a contract with the City. *Id*. However, the trustee was unable to negotiate with Respondent for the return of the plows, even while continuing to pursue the appeal of the automatic stay violation. *Id*. With winter approaching, Tenth Avenue withdraw its offer. *Id*.

Stone Pony, another competitor, then offered to purchase the property of the estate. *Id*. While the deal did not require the trucks, it was also $100,000 less than Tenth Avenue's original

[2] Statutory citations are to 11 U.S.C. (the Bankruptcy Code) unless otherwise indicated.

offer. *Id*. Fearing the end of plowing season would reduce the value of the estate further, the trustee accepted Stone Pony's offer, which was approved by the bankruptcy court in February 2018. *Id*. at 9A.

D. Respondent's Efforts to Collect on His 2016 Judgment and Discovery of a Fraudulent Transfer

Meanwhile, Respondent, observing the conversion of the case from a Chapter 11 to Chapter 7, decided to collect on his 2016 judgment on Clemons' personal guarantee. *Id*. at 7A. To do so, he hired a collection law firm who performed a creditors' examination of Clemons in May 2017. *Id*. Through that examination, Respondent learned that following the initial suit between the parties, the Debtor transferred approximately $100,000 in cash directly to a bank account held by Patti Clemons, Clemons's daughter. *Id*. Respondent voluntarily provided this information to the trustee along with sufficient evidence to establish the transfers as fraudulent and therefore voidable under the Bankruptcy Code. *Id*. The trustee ultimately settled with Patti, recovering $75,000 for the estate. *Id*.

Respondent incurred $25,000 in fees related to the transfer investigation from the firm he had retained. *Id*. Respondent filed a motion seeking allowance of a substantial contribution administrative expense pursuant to § 503(b). *Id*. The trustee opposed this motion on the ground that such administrative expenses are not permissible under Chapter 7 following § 503(b)(3)(D). *Id*. at 7A–8A. The bankruptcy court approved the Respondent's motion and granted him a $25,000 administrative expense. *Id*. at 8A. The trustee timely appealed. *Id*.

E. The Trustee's Appeal to the Thirteenth Circuit

Though the sale of the estate's property was complete, the trustee continued to pursue both appeals, seeking $100,000 in damages from the lost Tenth Avenue deal and the recovery of the $25,000 substantial contribution made to Respondent. *Id*. at 9A.

A divided Thirteenth Circuit affirmed the bankruptcy court on both issues. *Id*. at 3A. In doing so, the court broke with the majority of circuits and held that passive retention of property seized prepetition does not violate the automatic stay. *Id*. at 10A. The court followed the Tenth and D.C. Circuits, holding that the meaning of "act" in § 362 and the protections afforded by the turnover provision in § 542 limit the scope of the automatic stay to actions against the property of the estate postpetition. *Id*. at 10A–14A. The court also broke with the majority of circuits and followed the Sixth Circuit in holding that substantial contribution administrative expenses are permitted in Chapter 7 cases despite the language in § 503(b)(3)(D) limiting such administrative expenses to Chapter 9 and Chapter 11 cases. *Id*. at 16A.

In dissent, Judge Moon criticized the majority for reaching an outcome "irreconcilable with the Bankruptcy Code" and "promot[ing] the interests of individual creditors over the bankruptcy estate and its creditor constituency." *Id*. at 21A. Judge Moon agreed with the approach of the majority of circuits on both issues, finding that the approach of the majority in this opinion was an attempt to "rewrite[e] the law under the pretense of interpreting it." *Id*.

SUMMARY OF ARGUMENT

I. The Thirteenth Circuit erred in affirming the decision of the bankruptcy court that the automatic stay does not reach estate property obtained by a creditor prepetition.

Section 362(a)(3) of the Code prohibits "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." The majority of circuits hold that this language proscribes a creditor from retaining possession of estate property seized prepetition. The bankruptcy and circuit courts improperly below broke with this "majority approach."

First, the majority approach is consistent with the plain meaning of the automatic stay. "Exercise control" is not an ambiguous or unclear phrase such that a court may interpret it as it so chooses. Instead, a court should turn to its plain meaning and find that by retaining estate property, a creditor "exercises restraint over" the property. By keeping the snow plow trucks to this day, Respondent has acted in contravention of the automatic stay.

Second, the legislative history supports the majority approach's interpretation of the Code. The 1984 Amendments to the Bankruptcy Code modified the automatic stay provision such that it now prohibits "any act … to exercise control." Therefore, it must mean something different from "any act to obtain possession" and reach property seized prepetition. By erasing this meaning from the statute, the courts below attempt to rewrite the statute and return it to its pre-1984 meaning.

Third, the majority approach is consistent with other provisions of the Code, especially the turnover power of § 542 and adequate protection requirement of § 363. The Thirteenth Circuit improperly held that the turnover power requires action from the debtor before a creditor must return property of the estate. However, this is incorrect under this Court's decision in

United States v. Whiting Pools, 462 U.S. 198, 211 (1983). A creditor may still seek adequate protection under § 363 after the property has been returned to the estate. Therefore, neither § 542 nor § 363 destroy the majority approach to the automatic stay.

Finally, the majority approach is consistent with the purpose of the Bankruptcy Code as a whole, which is to maximize the value of the estate for the benefit of all creditors. By allowing Respondent to keep the snow plow trucks, the courts below deprived the estate of significant value—at least $100,000 worth. Should Respondent be allowed to retain the estate's property at the expense of the estate as a whole, one might expect a race to obtain assets prepetition. This outcome is avoidable by the majority approach to the automatic stay.

II. The Thirteenth Circuit also erred in allowing Respondent a substantial contribution administrative expense under § 503(b). Section 503(b) does allow courts to grant administrative expenses, and its introductory paragraph indicates that the total list is non-exclusive. But the Thirteenth Circuit failed to correctly interpret § 503(b) given the language of § 503(b)(3)(D) that allows creditor substantial contribution administrative expenses "in a case under chapter 9 or 11 of this title." By allowing Respondent such expense, despite the fact that the instant case is under Chapter 7, not Chapter 9 or 11, the court below misinterpreted the text of the Bankruptcy Code.

The court below violated several canons of statutory construction to reach its skewed interpretation of § 503(b). First, the court failed to limit the general authorization of § 503(b) with the specific authorization of § 503(b)(3)(D) that limits substantial contribution administrative expenses to creditors in Chapter 9 or 11 cases. Second, the court created unnecessary surplusage in the statute, because if substantial contribution administrative expenses are available in cases other than those under Chapter 9 or 11, Congress's words "in a case under chapter 9 or 11 of this title" are meaningless. Third, the Thirteenth Circuit's interpretation

violates the canon of expression of one implies the exclusion of another (*expressio unius es exclusio alterius*), because the text of § 503(b)(3)(D) limiting substantial contribution administrative expenses to Chapter 9 or 11 cases implies the exclusion of such expenses from cases under other Chapters.

The Thirteenth Circuit also misinterpreted the legislative history of § 503(b). In initial drafts of the Code and in committee reports, Congress never considered allowing substantial contribution administrative expenses for creditors in liquidation (Chapter 7) cases. Although Congress's silence in legislative history isn't definitive, it is consistent with the plain text of § 503(b).

The Thirteenth Circuit's decision also frustrates Congress's policy decision as shown by the text of § 503(b). By not including Chapter 7 or Chapter 13 in its specific authorization for substantial contribution administrative expenses, § 503(b)(3)(D), Congress effectively resolved potential disputes for the trustee. And in § 503(b)(3)(B) Congress provided creditors with the ability to recover expenses from pursing avoidance actions on behalf of the estate if those creditors first seek the approval of the court.

Finally, the Thirteenth Circuit mistakenly relied on the general equitable powers of courts sitting in bankruptcy to give Respondent a substantial contribution administrative expense. Equitable powers are inherently limited by the text of the Bankruptcy Code, and in this case the Code does not allow substantial contribution administrative expenses in Chapter 7 cases. It is also unclear if the equities even favor Respondent in this case, and it is likely that the equities will continue to be muddled if the Thirteenth Circuit's holding is applied to other cases.

ARGUMENT

I. The Thirteenth Circuit's Opinion is Inconsistent with the Text, History, and Purpose of Section 362(a)(3)

Section 362(a)(3) affirmatively prohibits a secured creditor from retaining property of a debtor's estate that was lawfully repossessed prepetition. Despite Debtor's petition for Chapter 11 and the receipt of a demand to return the property, Respondent refused to return Debtor's snow plow trucks. This was in direct contravention of the automatic stay's plain meaning, the legislative history surrounding its drafting, and the policy considerations advanced by the Bankruptcy Code at large.

The court of appeals for the Thirteenth Circuit erred in affirming the decision of the bankruptcy court below, deciding that § 362(a)(3) (the "automatic stay provision") allows a secured creditor from retaining a debtor's property lawfully repossessed prepetition.

The majority of circuits understand the automatic stay to prohibit the passive retention of property postpetition. This majority approach follows from the plain meaning of the Code and is further supported by the legislative history surrounding its drafting. This interpretation is also consistent with other provisions of the Code, namely § 542.

Finally, this understanding of the automatic stay promotes the purposes of the Bankruptcy Code: preserving the Debtor's estate while decisions are made about it, preventing creditors from abusing their power to gain unjust advantages, and ensuring the value of the estate is maximized for the benefit of the creditors. Reaching a contrary result would dismantle the protections of the Bankruptcy Code and eliminate debtor protections at the expense of the other creditors of the estate.

A. The Opinion Below Contradicts the Plain Meaning of the Bankruptcy Code, Which Defines Estate Property Seized Prepetition Within the Scope of the Automatic Stay

Section 362 of the Bankruptcy Code provides for a stay of almost all actions related to the estate upon the filing of a bankruptcy petition under any Chapter of the Bankruptcy Code. 3 Collier on Bankruptcy ¶ 362.01 (16th ed. 2018). Among the actions prohibited by the automatic stay, the Code specifically proscribes "any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." § 362(a)(3). Like the general purpose of the automatic stay, this is to ensure that the trustee, or debtor in possession, is able to preserve any going concern value and to ensure an equitable distribution of the property among all creditors. 3 Collier on Bankruptcy ¶ 362.03 (16th ed. 2018).

Under the Bankruptcy Code, property of the estate is defined expansively, such that it includes "all legal or equitable interests of the debtor in property as of the commencement of the case," § 541(a)(1), and reaches property "wherever located and by whomever held." § 541(a). As of the commencement of this bankruptcy case, the title to the snow plow trucks remained in Debtor's name and thus Debtor had both legal and equitable interest in the trucks. Pet. App. 6A.[3]

The automatic stay prohibits acts to obtain possession of the estate's property as well as acts "to exercise control over property of the estate." § 362(a)(3). The former clause is generally agreed to mean affirmative, tangible acts to seize property. The meaning of the second clause is not settled, though the majority of circuits hold that it reaches intangible interferences with property, including the failure to return property of the estate seized prepetition. *See Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 81 (2d Cir. 2013); *Thompson v. Gen. Motors Acceptance*

[3] Applicable non-bankruptcy law regarding property interests for the Thirteenth Circuit is unknown. However, this is not disputed by the parties and is affirmed in the opinion below. Pet. App. 6A n.4.

Corp., LLC, 566 F.3d 699**,** 703 (7th Cir. 2009); *Knaus v. Concordia Lumber Co., Inc. (In re Knaus)*, 889 F.2d 773, 774 (8th Cir. 1989); *State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151 (9th Cir. 1996).[4] *But see W.D. Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 948 (10th Cir. 2017); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991). This majority approach is followed by numerous bankruptcy and district court judges across the country as well. *See Stmima Co. v. Carrigg (In re Carrigg)*, 216 B.R. 303, 304-05 (B.A.P. 1st Cir. 1998); *TranSouth Fin. Co. v. Sharon (In re Sharon)*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999); *Mitchell v. BankIllinois*, 316 B.R. 891, 893 (S.D. Tex. 2004) .

The majority approach that passive retention of property of the bankruptcy estate is subject to the automatic stay follows from the plain meaning of the statute. As admitted by the opinion below, "a legislature says in a statute what it means and means in a statute what it says there." Pet. App. 11 (citing *Conn. Nat. Bank v. Germain,* 503 U.S. 249, 251 (1992)). Where "the words of a statute are unambiguous … judicial inquiry is complete." *Id.*

The definition of "control" is straightforward: "Webster's Dictionary defines 'control' as, among other things, 'to exercise restraining or directing influence over' or 'to have power over.'" *Thompson*, 566 F.3d at 702 (citing Merriam-Webster's Collegiate Dictionary (11th Ed. 2003)). *See also* American Heritage Dictionary (5th Ed. 2019) (defining "control" as, among other things, "to exercise authoritative or dominating influence over; direct" or "to hold in restraint; check"). "Holding onto an asset, refusing to return it, and otherwise prohibiting a debtor's

[4] Though many of these cases address the automatic stay as it relates to Chapter 13 cases, the analysis of the automatic stay is equally applicable to Chapter 11 cases. *See In re Weber*, 719 F.3d at 78 ("But, like other courts to have addressed the issue, we observe that the language of sections 541, 542, and 362 applies to the 'estate,' not just the 'reorganization estate.'").

beneficial use of an asset all fit within this definition, as well as within the commonsense meaning of the word." *Thompson*, 566 F.3d at 702.

Here, Respondent clearly "exercise[d] restraining or directing influence over" the estate's snow plow trucks. The trucks remain in his garage which the trustee cannot access. Pet. App. 6A. Respondent, to do this day, "hold[s] them in restraint," and by doing so prevented their inclusion in the liquidation estate and torpedoed a lucrative sale at the expense of other creditors.[5] *Id*. at 8A-9A. Given such clear statutory language, no further analysis should be required to hold that Respondent violated the automatic stay by refusing to return the snow plow trucks at the commencement of the case.

The opinion below focuses on the language at the beginning of the § 362, specifically that the automatic stay prohibits "any act" to either obtain possession or exercise control over property, defining "act" as "the process of doing something or performing." Pet. App. 23A (citing Black's Law Dictionary 27 (9th ed. 2009)). The opinion sets forth this definition to imply that "passive retention" is not an act because it does not involve "doing something." *Id*. This does not follow the accepted, expansive construction of "act." *See In re Peake*, 588 B.R. 811, 832 (Bankr. N.D. Ill. 2018) ("when applying the appropriate canons of construction, it is natural to give the term 'act' its broadest meaning when construing the expansively-interpreted language in section 362(a)(3)."). Nor does it make sense to describe the Respondent's continuing possession as anything but an action. *See* Hon. Eugene R. Wedoff, *The Automatic Stay Under § 362 (a)(3) – One More Time*, 38 Bankr. L. Letter 7, July 2018, at 2-3 ("Wedoff") (discussing the meaning of exercising control and finding no alternative to the plain meaning understanding).

[5] While Respondent is the secured creditor in this case, there are other creditors of the estate. Pet. App. 8A

Respondent did something – he affirmatively withheld the snow plow trucks, denying the estate substantial value, both in the form of the plows themselves and in the form of lost value from the unsuccessful Tenth Avenue deal. The opinion below represents an outlier interpretation, rejected by the majority of circuits. It should be rejected here as well.

B. The Opinion Below Ignores the Legislative History, Which Demonstrates Congressional Intent to Expand the Scope of the Automatic Stay to Reach the Retention of Property

The majority approach is further supported by the legislative history of the Bankruptcy Code. In 1984, the Bankruptcy Amendments and Federal Judgeship Act amended § 362(a)(3) by adding the "to exercise control over property of the estate" language at issue in this case. This decision is meaningful: "the mere fact that Congress expanded the provision to prohibit conduct above and beyond obtaining possession of an asset suggests that it intended to include conduct by creditors who seized an asset pre-petition." *Thompson*, 566 F.3d at 702. *See also In re Weber,* 719 F.3d at 80; *In re Del Mission Ltd.,* 98 F.3d at 1151.

The opinion below hides its disregard for the history of the statute, and the changes it made in the scope of the automatic stay, by positing that Congress could not have intended this outcome. Pet. App. 15A ("Congress does not 'hide elephants in mouseholes.'"). However, this result is akin to eliminating the amendment all together and returning the statute to its pre-1984 meaning. Courts are meant to interpret, not to rewrite: "In all events, it is not our task to assess the consequences of each approach and adopt the one that produces the least mischief. Our charge is to give effect to the law Congress enacted." *Lewis* v. *City of Chicago, Ill.*, 560 U.S. 205, 217 (2010). Instead of engaging in historical speculation, the Court should follow its own canon of interpretation by according the amended language its own meaning, a meaning understood and followed by the majority of circuits.

C. The Opinion Below Proposes an Unnecessary and Unsupportable Tradeoff Between the Automatic Stay and the Turnover Power

The opinion below continues its rewriting of the Bankruptcy Code by proposing an interpretation of the automatic stay that trades off between the "exercise control" prohibition and the turnover power of § 542(a). This is not only an improper role for the courts, *see Lewis*, 560 U.S. at 217, but ignores the established meaning of § 542, which is consistent with the automatic stay.

The majority approach to the automatic stay is consistent with the reach of the turnover power under § 542(a)—both provisions include property belonging to the estate, but seized prepetition, as part of the bankruptcy estate. *Whiting Pools*, 462 U.S. at 209 (holding that "property of the debtor that has been seized by a creditor prior to the filing of a petition for reorganization" is part of the bankruptcy estate). In *Whiting Pools*, the Court described three scenarios in which this property is not required to be returned: "when the property is of inconsequential value or benefit to the estate, § 542(a), when the holder of the property has transferred it in good faith without knowledge of the petition, § 542(c), or when the transfer of the property is automatic to pay a life insurance premium, § 542(d)." *Id*. at 206 n.12. None of these scenarios include possessory liens, need for adequate protection, or the like. *Id.* at 211 (explaining that "the inclusion of the property within the estate does not dissolve liens nor destroy any entity's secured creditor status and therefore the creditor is not made worse off by the return of the property.") Other than the three "express limitations," the turnover power "requires [a creditor] to seek protection of its interest according to the congressionally established bankruptcy procedures, rather than by withholding the seized property from the debtor's efforts to reorganize." *Id.* at 212.

The opinion below improperly argues that a tradeoff between the automatic stay's scope and the turnover power is necessary to protect a creditor's rights to the property, such as a possessory lien. Pet. App. 13A. However, this invented tradeoff is not necessary to protect secured creditors. First, the return of property does not cause a loss of a possessory lien if it was done involuntarily. *See* Restatement (First) of Security § 80 cmt. c (1941). Second, should nonbankruptcy law result in the termination of the possessory lien, § 362(b)(3) would prevent the creditor from having to return the property. *See Hayden v. Wells (In re Hayden)*, 308 B.R. 428, 432 (B.A.P. 9th Cir. 2004) ("[I]f state law provides that a creditor's security interest is superior to the rights of any entity obtaining its interest in the property prior to the date the creditor takes action to maintain … its lien, the creditor's postpetition act to maintain … the lien does not violate the automatic stay."). *See also* Wedoff at 6-7.

Additionally, neither the automatic stay nor the turnover power prevents a creditor from seeking, or obtaining, adequate protection after the property is returned to the estate. Adequate protection is a requirement of § 363, which states that before the trustee may use, sell, or lease property to which an entity has an interest, the court "shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest." § 363(e).

Reading the Code to require property repossessed prepetition to be returned to the Debtor does not eliminate any rights of the Respondent, including the right to adequate protection. *See Whiting Pools*, 462 U.S. 198 at 211. Instead of "withholding the seized property" from the Debtor's bankruptcy proceedings, Respondent must seek "seek protection of its interest" through the other provisions of the Code. *See id.* at 212. Congress placed the burden of this action on the creditor, here Respondent, rather than the debtor. *See In re Weber*, 719 F.3d at 80 (finding no

indication of "any Congressional desire to impose … an additional burden [through the requirement that the debtor file a turnover petition] on debtors seeking bankruptcy protection.").

The turnover provision and the adequate protection requirements do not bar the return of property seized prepetition to the debtor's estate through the automatic stay. Thus, the majority interpretation is consistent with the protections and procedures of the Bankruptcy Code.

D. The Majority Approach is Consistent with the Purposes of the Bankruptcy Code as a Whole

Finally, following the majority interpretation of the automatic stay, as well as the turnover provision, comports with the goals of the Bankruptcy Code more generally, which are "to provide a procedure by which certain insolvent debtors can reorder their affairs, make peace with their creditors, and enjoy a new opportunity in life with a clear field for future effort, unhampered by the pressure and discouragement of preexisting debt." *Grogan v. Garner*, 498 U.S. 279, 286 (1991) (internal citation omitted). By allowing valuable property to remain in the possession of a secured creditor, the opinion below frustrates these goals and imposes severe obstacles on recovery for debtors.

The primary means of achieving these goals is to handle the proceeding as a collective affair: "to facilitate the rehabilitation of the debtor's business, all the debtor's property must be included in the reorganization estate." *Whiting Pools*, 462 U.S. 198 at 203. *See also Thompson*, 566 F.3d at 702 ("[t]he primary goal of reorganization bankruptcy is to group *all* of the debtor's property together in his estate such that he may rehabilitate his credit and pay off his debts.") (emphasis in original). In this situation, all truly means all: "this necessarily extends to all property, even property lawfully seized pre-petition." *Id*.

The automatic stay enables the estate to come together while also allowing the debtor to continue doing business. H.R. Rep. No. 95-595, at 340-41 (1977) (Congress's purpose in creating the automatic stay was to give "the debtor a breathing spell from his creditors" and allow the debtor "simply to be relieved of the financial pressures that drove him into bankruptcy."). Ensuring not only that all property remains in the estate, but also that it is included in the estate in the first place, is the purpose of the automatic stay. *See In re Weber*, 719 F.3d. at 78 (the automatic stay "shelter[s] the debtor's estate from action by creditors, enabling the debtor to get the relief and fresh start that are among the goals of the bankruptcy regime.").

The Bankruptcy Code recognizes that the value of the estate is maximized by the debtor retaining possession of the estate's property through the bankruptcy proceedings: "[a]n asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot." *Thompson*, 566 F.3d 699 at 702. *See also* Baird, *Elements of Bankruptcy* 228 (6th ed. 2014) ("Baird") ("The trustee (and by inference the debtor in possession) must maximize the value of the estate rather than promote the interests of any particular group."). This is not the expected outcome when a secured creditor is left in charge of property of the estate:

> The secured creditor has nothing to gain from getting more than the amount it is owed. Hence, it will be unlikely to sell [the estate property] in a way that maximizes its value. We do have rules that require the secured creditor to act reasonably, but we are going to be better off if the person conducting the sale has the incentive to get the best price.

Baird at 204. Clearly, the best use for the snow plow trucks was not for them to be kept in a garage throughout a snow-filled winter, but for them to be returned to the Debtor to increase the value of the estate, either in its reorganization or liquidation form. The Respondent quashed any

attempt at maximizing the value of the estate when he refused to return them to the trustee and prevented the sale of the estate's property to Tenth Avenue.

By allowing the Respondent to retain control over the trucks, the court has said that a single creditor may place his own needs, and even whims, ahead of all other creditors. *See* Pet. App. 21A (Moon, J. dissenting). The estate lost out on $100,000 because Respondent, refusing to return the trucks, prevented the trustee from completing the Tenth Avenue deal. Pet. App. 8A–9A. This action hurt all the creditors, Respondent included. While the case describes a history of bad blood between the parties, the courts should not give credence to untoward motivation and instead should focus on upholding the goal of the Bankruptcy Code, which is to have an organized, collective proceeding. Without the automatic stay's preservation of the estate's value at the time of filing, the administrative costs imposed by this process may no longer be justified.

> [I]f persons who could make no substantial adverse claim to a debtor's property in their possession could, without cost to themselves, compel the debtor or his trustee to bring suit as a prerequisite to returning the property, the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced. The general creditors, for whose benefit the return of property is sought, would have needlessly to bear the cost of its return.

In re Knaus, 889 F.2d at 775.

Respondent may incur costs by complying with the provisions of the Code, but Congress envisioned and accepted that individual creditors might bear increased costs at the expense of the class of creditors as a whole. *See In re Del Mission Ltd.*, 98 F.3d at 1151–52 ("[T]he case law and the legislative history of § 362 indicate that Congress did not intend to place the burden on the bankruptcy estate to absorb the expense of potentially multiple turnover actions, at least not without providing a means to recover damages sustained as a consequence thereof.") The only

outcome that accords with the purpose of the Bankruptcy Code as a whole is that which unifies the bankruptcy estate through the return of property seized prepetition to the debtor.

II. The Bankruptcy Code Does Not Permit Substantial Contribution Administrative Expenses for Creditors in Chapter 7 Cases

The Thirteenth Circuit misinterpreted § 503(b) by allowing Respondent a substantial contribution administrative expense claim despite the limited authorization for such claims in § 503(b)(3)(d). In the instant case, Respondent financed an investigation that allowed the trustee to enter into a settlement agreement with Patti Clemons regarding a fraudulent conveyance. Pet. App. 7A. It is undisputed that these expenses were necessary and that they resulted in a substantial contribution to the estate. Respondent's expenses from this investigation would have given him a claim with administrative expense priority had it occurred when the case was still in Chapter 11 under § 503(b)(3)(D). Below, the Thirteenth Circuit allowed Respondent an administrative expense for his expenses from the investigation. However, because Debtor converted the case to Chapter 7 before Respondent investigated the fraudulent conveyance, the Bankruptcy Code does not allow Respondent to recover his expenses. This result is required by the specific authorization in § 503(b)(3)(D), as followed by the majority of courts. *See, e.g., Lebron v. Mechem Fin. Inc*., 27 F.3d 937, 946 (3d Cir. 1994); *In re Lloyd Sec., Inc*., 75 F.3d 853, 857 (3d Cir. 1996); *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 822 n.2 (6th Cir. 2015) (O'Malley, J., dissenting) (collecting bankruptcy court and district court cases). *But see, e.g., In re Connolly N. Am., LLC*, 802 F.3d at 819 (allowing such a claim in a Chapter 7 case); *Sharkey v. Stevenson and Bullock, PLC (In re Sharkey)*, No. 17-11237, 2017 WL 5476486, at *9 (E.D. Mich. Nov. 15, 2017) (applying *In re Connolly* to a Chapter 13 case); *In re Javed*, 592 B.R. 615, 621 (Bankr. D. Md. 2018) (agreeing with *In re Connolly*).

Allowing Respondent an administrative expense in the instant case, no matter how satisfying or logical that expense may be, renders the words of Congress impotent. "If judges disagree with Congress's choice, [they] are perfectly entitled to say so—in lectures, in law review articles, and even in dicta. But [they] are not entitled to replace the statute Congress enacted with an alternative of [their] own design." *Yates v. United States*, 135 S. Ct. 1074, 1101 (2015) (Kagan, J., dissenting).

A. The Text of the Bankruptcy Code Denies Respondent an Administrative Expense in a Chapter 7 Case

The Bankruptcy Code, in § 503, allows for certain expenses to give claims against the estate which receive administrative priority. These administrative expenses are given priority over general unsecured claims. § 507. Parties with administrative expenses must be paid in cash (or consent to another type of payment) for a Chapter 11 plan to be confirmed. § 1129(a)(9)(A). Creditors (like Respondent) can receive claims for administrative expenses under § 503(b)(3). There are six scenarios defined by the subsection in which a creditor can receive an administrative expense.[6] Only one of these scenarios is limited to certain types of bankruptcy cases: when a creditor incurs necessary expenses as a result of making a substantial contribution to the case. § 503(b)(3)(D). The provision reads:

> [T]he actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by— . . . a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title.

[6] Besides recovering necessary expenses from making substantial contributions to the case, creditors can also recover expenses from placing debtors in involuntary bankruptcy proceedings, expenses from recovering (with leave of the court) property of the estate transferred or concealed by the debtor, expenses from prosecuting a criminal offense relating to the case, expenses from acting as a custodian of the case, and expenses incurred from acting as a member of a creditor's committee. § 503(b)(3).

§ 503(b)(3)(D).

The Thirteenth Circuit incorrectly interpreted § 503(b) to allow substantial contribution administrative expenses for creditors in Chapter 7 cases by failing to apply the limitation of § 503(b)(3)(D). The text of § 503(b)(3)(D) explicitly limits substantial contribution administrative expenses for creditors to Chapter 11 and Chapter 9 cases. The Thirteenth Circuit below ignored this limitation, and instead argued that the word "including" in the introductory paragraph of § 503(b) made the language of § 503(b)(3)(D) non-restrictive. Pet. App. 18A-19A. This interpretation was first adopted by the Sixth Circuit. *See In re Connolly N. Am., LLC*, 802 F.3d at 816. Relying on the word "including" in § 503(b) combined with the general equitable powers of bankruptcy courts, the Thirteenth Circuit ruled in favor of Respondent despite the clear words of Congress. Pet. App. at 19A–20A.

The Thirteenth Circuit's (and the Sixth Circuit's) interpretation violates the general rule of statutory interpretation that the specific governs the general. In interpreting another section of the Bankruptcy Code, the Supreme Court has clarified that "the canon has full application as well to statutes such as the one here, in which a general authorization and a more limited, specific authorization exist side-by-side. There the canon avoids not contradiction but the superfluity of a specific provision that is swallowed by the general one." *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 645 (2012). The Thirteenth Circuit used the general authorization in § 503(b) for courts to grant administrative expenses to swallow the more specific authorization in § 503(b)(3)(D) allowing creditors to receive substantial contribution administrative expenses in Chapter 9 and 11 cases. Pet. App. 19A. *See also In re Connolly N. Am., LLC*, 802 F.3d at 817.

The opinion below also creates unnecessary surplusage in the statute. When engaging in statutory interpretation, the text of the statute must be interpreted to give the text meaning and avoid surplusage. "It is a cardinal principle of statutory construction that a statute ought, upon the whole, to be so construed that, if it can be prevented, no clause, sentence, or word shall be superfluous, void, or insignificant." *TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001) (internal quotation marks omitted). The canon against surplusage is not absolute, but "assists only where a competing interpretation gives effect to every clause and word of a statute." *Microsoft Corp. v. i4i Ltd. Partnership*, 564 U.S. 91, 106 (2011) (internal quotation marks omitted). Here, there are two competing interpretation of § 503(b), and only the Thirteenth and Sixth Circuit's creates surplusage. Under their interpretation, Congress's express words limiting creditor substantial contribution administrative expenses in § 503(b)(3)(D) to "a case under chapter 9 or 11 of this title" are surplusage. If the same expense is available in cases under other Chapters, indeed *all* Chapters (the logical conclusion of the Thirteenth Circuit's reasoning), the words in § 503(b)(3)(D) are superfluous.

The correct interpretation (and the interpretation of the dissent below) gives all the words in § 503 meaning. It is true that in the Code, the word "including" is not limiting. § 102(3). But disallowing creditors from receiving substantial contribution administrative expenses in a Chapter 7 case does not render the word "including" in § 503(b) meaningless as the Thirteenth and the Sixth Circuits argue. *See* Pet. App. 18A; *In re Connolly N. Am., LLC*, 802 F.3d at 815–16. Instead, it gives meaning to the limiting words ("under chapter 9 or 11 of this title") in § 503(b)(3)(D) while not disturbing the meaning to the word "including" in the introductory paragraph of § 503(b). As many courts have held, when Congress does not expressly limit an administrative expense in the subsections of § 503, the word "including" in § 503(b) allows

courts to grant administrative expenses not defined anywhere in the § 503. *See, e.g., Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc*.), 963 F.2d 1449, 1452 (11th Cir.1992); *Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc*.), 991 F.2d 233, 238 (5th Cir. 1993). But the term "including" in § 503(b) does not allow for administrative expenses when Congress has expressly limited their availability, as it did in § 503(b)(3)(D).

Another canon of statutory interpretation, the expression of one implies the exclusion of another (*expressio unius es exclusio alterius*), counsels that § 503(b)(3)(D) restricts the availability of substantial contribution administrative expenses under § 503(b) to just Chapter 9 and Chapter 11 cases. There are two ways in which this canon applies. First, by explicitly allowing substantial contribution administrative expenses under § 503(b)(3)(D) for cases "under chapter 9 or chapter 11 of this title," recovery for the same substantial contribution administrative expenses under other Chapters of the Bankruptcy Code is not available in the general authorization of § 503(b). Because Chapters 1, 3, and 5 of the Code define the availability of powers and limitations to cases under other Chapters, defining the applicability of a provision in Chapter 5 (§ 503(b)(3)(D)) to certain Chapters (9 and 11) necessarily and naturally limits that power (a court's ability to give a substantial contribution administrative expenses) to the enumerated Chapters. "If a sign at the entrance to a zoo says 'come see the elephant, lion, hippo, and giraffe,' and a temporary sign is added saying 'the giraffe is sick,' you would reasonably assume that the others are in good health." *N.L.R.B. v. SW Gen., Inc.*, 137 S. Ct. 929, 940 (2017).

Second, the canon of *expressio unius* applies to the instances in which Congress uses the word "including" in § 503(b)(1)–(9). Congress did not add the word "including" to any part of § 503(b)(3)(D), but it did include "including" in other parts of § 503(b)(1)–(9). *See In re*

Connolly N. Am., LLC, 802 F.3d at 821 (O'Malley, J., dissenting). For example, Congress used "including" in defining the costs of preserving the estate under § 503(b)(1)(A) and used "including" to not limit the necessary costs of closing a health care business under § 503(b)(8). Its choice not to use "including" in § 503(b)(3)(D) indicates that the availability of substantial contribution administrative expenses is available only in cases under Chapter 9 and 11 and not under Chapter 7 or 13. That Congress did not use the phrase "and not under Chapter 7" does not mean that recovery is available in cases under Chapter 7. If that was Congress's intent, it could have included Chapter 7, or not mention any chapters at all, in § 503(b)(3)(D). "Congress says in a statute what it means and means in a statute what it says there," *Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000).

B. The Legislative History Supports Excluding Chapter 7 Cases from Section 503(b)(3)(D)

The legislative history is silent on why Congress limited administrative expense claims in § 503(b)(3)(D). However, in early Congressional reports and drafts of the Code, substantial contribution administrative expenses for creditors were limited to "a reorganization or municipal debt adjustment case." H.R. Rep No. 95-595, at 355 (1977). *See also* S. Rep No. 95-989, at 67 (1978); *In re Connolly N. Am., LLC*, 802 F.3d at 821–22 (O'Malley, J., dissenting) (collecting legislative history). From the earliest stages of drafting the Code, Congress did not consider allowing creditors in Chapter 7 liquidation cases substantial contribution administrative expenses. Congress's silence, while not very authoritative on its own, is significant here because it is consistent with the text of the statute. *See In re Connolly N. Am., LLC*, 802 F.3d at 821 (O'Malley, J., dissenting).

C. Excluding Substantial Contribution Administrative Expenses from Chapter 7 and Chapter 13 Cases Is Justified by Congress's Policy Choice

The distinction between allowing substantial contribution administrative expenses for creditors in Chapter 9 and Chapter 11 case under § 503(b)(3)(D) but not for creditors in Chapter 7 and Chapter 13 cases using § 503(b) is also justified by policy arguments.[7] Cases in Chapter 9 and 11 typically have little to no role for a trustee. "Normally in chapter 11 cases, the debtor remains in possession of its assets and continues to operate its business as it restructures or sells and attempts to formulate a reorganization plan." 7 Collier on Bankruptcy ¶ 1104.02 (16th 2018). Trustees can be appointed in Chapter 9 cases only if the debtor refuses to pursue an avoidance action. 6 Collier on Bankruptcy ¶ 902.06 (16th 2018). Appointing a general trustee with power over the municipal estate (and, therefore, its property) in a Chapter 9 case is constitutionally prohibited. *Id*. *See also United States v. Belkins*, 304 U.S. 27, 51–52 (1938).

In contrast to Chapters 9 and 11, trustees have extremely large roles in Chapter 7 and 13 cases. In Chapter 7 cases, a trustee is required to administer the estate and prepare it for liquidation. §§ 701, 702, 704. Chapter 13 also requires a trustee to administer the debtor's estate and accept payments under a debtor's plan. §§ 1302, 1326.

The role of a trustee is the defining factor for why creditors should not be able to receive substantial contribution administrative expenses in Chapter 7 or 13 cases. In these cases, a creditor acting without the approval of the trustee and then seeking to get an administrative expense claims for her efforts creates a large litigation risk. For example, because both "substantial contribution" and "necessary expenses" are terms of art, whether a creditor's actions are eligible is a point of dispute. *See, e.g., In re Deval Corp.*, 592 B.R. 587, 598 (Bankr. E.D. Pa.

[7] By mentioning neither Chapter 7 or Chapter 13 in its text, administrative expense claims for cases under those Chapters are unavailable under § 503(b)(3)(D), although Chapter 13 is not directly relevant to the instant case.

2018) (deciding whether a creditor made a substantial contribution to the estate); *In re FPMC Austin Realty Partners, LP*, 573 B.R. 679, 681 (Bankr. W.D. Tex. 2017) (determining that a creditor's expense did not make a substantial contribution to the estate and that the expense was not necessary); *In re Castle Pines N. Metro. Dist.*, 129 B.R. 233, 235 (Bankr. D. Colo. 1991) (determining whether an official creditor committee's expenses were eligible for reimbursement under § 503(b)(3)(D)).

These § 503(b)(3)(D) disputes in Chapter 9 and Chapter 11 cases are typically between creditors. In Chapter 7 and 13 cases, such as the instant case, disputes about eligibility as substantial contribution administrative expenses are likely to be between a creditor and the trustee if the expenses are allowed under § 503(b). By omitting Chapter 7 and 13 cases from the text of § 503(b)(3)(D), Congress has resolved these potential disputes in favor of the trustee. Using the word "including" in the introductory paragraph of § 503(b) to allow substantial contribution administrative expenses for creditors thwarts Congress's policy choice in § 503(b)(3)(D).

That is not to say that a creditor has no recourse when it believes a trustee is unjustly failing to pursue an avoidance action. For example, a creditor can ask a court for derivative standing to pursue an avoidance action on which the trustee refuses to act. *See In re Trailer Source, Inc.*, 555 F.3d 231, 243 (6th Cir. 2009); *Official Comm. of Unsecured Creditors of Cybergenics Corp. ex rel. Cybergenics Corp. v. Chinery*, 330 F.3d 548, 566 (3d Cir. 2003). In these cases, the necessary expenses incurred by the creditor in their derivative standing suit can receive administrative expense priority because they were made with the court's permission. § 503(b)(3)(B). Therefore, Respondent and other creditors in like situations can avoid the limiting language of § 503(b)(3)(D) by getting approval from the court for a derivative standing

suit to commence an avoidance action. If they do that, they will receive an administrative expense under § 503(b)(3)(B).

D. Reliance on Principles of Equity is a Mistake When Their Result Contradicts Congress

Congress's intent to prevent Chapter 7 creditors from receiving substantial contribution administrative expenses under § 503(b), as shown in the text of § 503(b)(3)(D), limits the court's equitable power. Respondent successfully making a substantial contribution to the estate frames his argument for receiving an administrative claim as appealing to an inherent sense of justice. Both the Sixth Circuit and the Thirteenth Circuit relied partially on the "equitable powers" of bankruptcy court to prevent a supposed inequity denying creditor's administrative claims when he successfully makes a substantial contribution to a Chapter 7 estate. *See In re Connolly N. Am., LLC*, 802 F.3d 810, 815 (6th Cir. 2015); Pet. App. 20A. But "whatever equitable powers remain in the bankruptcy courts must and can only be exercised within the confines of the Bankruptcy Code." *Law v. Siegel*, 571 U.S. 415, 421 (2014) (internal quotation marks omitted). Equity does not justify giving Respondent a substantial contribution administrative expense when the Code prohibits him from receiving such expense.

It is also not clear that the equities are in favor of Respondent. Here, because Respondent discovered the fraudulent conveyance while he was investigating his personal guarantee from Clemons, giving him an administrative claim for those expenses would in effect subsidize his own separate case against Clemons to the detriment of the estate. Although Respondent's actions lead to the estate increasing in value by $75,000, allowing him an administrative expense would reduce the funds available to other creditors by $25,000. It is possible that Respondent would

already have a right to the funds outside of his administrative expense claim if he has a deficiency claim as an undersecured creditor.

The equities in hypothetical cases are not always in favor of the Chapter 7 creditor who makes a substantial contribution to the estate. Giving an unsecured creditor an administrative expense can create bad incentives for unsecured creditors to act without approval of the Chapter 7 trustee or the bankruptcy court in hopes of jumping the line with an administrative claim. In general, because of the potential for administrative expenses to upset absolute priority and the ability for those with administrative expenses to demand full payment in cash before plan confirmation, such expenses should be "strictly construed." *Bachman v. Commercial Fin. Servs., Inc., (In re Commercial Fin. Servs., Inc.)*, 246 F.3d 1291, 1293 (10th Cir. 2001); *In re Connolly N. Am., LLC*, 802 F.3d at 816. If the equities are to be considered at all, the equities of all creditors must be considered in these cases. *See In re Connolly N. Am., LLC*, 802 F.3d at 824 (O'Malley, J., dissenting).

As this Court has noted, "[t]he Bankruptcy Code standardizes an expansive (and sometimes unruly) area of law, and it is our obligation to interpret the Code clearly and predictably using well established principles of statutory construction." *RadLAX Gateway Hotel, LLC*, 566 U.S. at 649. Respondent and the court below misuse principles of statutory construction to reach a conclusion that appears satisfying but undermines the Code and Congress's intent.

CONCLUSION

For the foregoing reasons, the judgment below should be reversed.

Respectfully Submitted,

47 P

January 21, 2019

APPENDIX

TABLE OF CONTENTS

Opinion of the Thirteenth Circuit, No. 17-0805, Decided March 5, 2018 ..... 2A

11 U.S.C. 362 ..... 33A

11 U.S.C. 363 ..... 34A

11 U.S.C. 503 ..... 34A

11 U.S.C. 541 ..... 39A

11 U.S.C. 542 ..... 40A

Recommended for Full Text Publication

UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

IN RE BACKSTREETS PLOWING, INC.,

CASE NO. 17-0805

DEBTOR.
_____/

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

APPELLANT,

V.

MILTON WEINBERG,

APPELLEE.
_____/

Appeal from the Bankruptcy Appellate Panel
for the Thirteenth Circuit

Decided: March 5, 2018

Before: BONHAM, MOON and WATTS, Circuit Judges

OPINION

BONHAM, Circuit Judge:

This appeal arises out of the bankruptcy case of Backstreets Plowing, Inc. (the "Debtor"). It involves two separate disputes, which have been consolidated for appeal, between Steven Vin Sant, the duly-appointed chapter 7 trustee (the "Trustee"), and Milton Weinberg, a secured creditor ("Weinberg"). In the first dispute, we are asked to determine whether a secured creditor

violates the automatic stay set forth in section 362(a)(3) of the Bankruptcy Code[1] by passively retaining possession of collateral that it lawfully repossessed from the debtor in accordance with applicable non-bankruptcy law prior to the petition date. Second, we are asked to determine whether a court is permitted to grant an administrative expense to a party who makes a substantial contribution to the estate in a case under chapter 7 of the Bankruptcy Code pursuant to section 503(b).

The United States Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel for the Thirteenth Circuit answered both questions in favor of Weinberg, concluding that: (i) his retention of snow plow trucks that he legally repossessed prior to the bankruptcy filing, each of which constituted collateral for a loan made to the Debtor, did not violate section 362(a)(3), and (ii) he was entitled to a substantial contribution administrative expense under section 503(b), notwithstanding section 503(b)(3)(D). We affirm the bankruptcy court on both issues.

Factual Background and Procedural History[2]

The Debtor operated a seasonal snow plow business. In the spring of 2015, the Debtor's sole shareholder, Christopher "Big Man" Clemons ("Clemons"), realized that in order for his business to remain competitive, he would need to purchase newer, more fuel-efficient, snow plow trucks. In addition to fuel savings, the new plow trucks would allow the Debtor to avoid the substantial costs that it incurred every winter maintaining and repairing its much older trucks. The new trucks would also enable the Debtor to compete for a valuable plowing contract with

[1] The Bankruptcy Code is set forth in 11 U.S.C. §§ 101 *et seq*. Specific sections of the Bankruptcy Code are identified herein as "section_." Similarly, specific rules from the Federal Rules of Bankruptcy Procedure are identified herein as "Bankruptcy Rule_."

[2] The facts, as set forth herein, are not disputed by the parties to this appeal.

the City of Badlands, where the Debtor was headquartered. The contract, although guaranteeing only one year of work, was renewable at the sole option of the City.

Short on funds, Clemons approached Weinberg, an acquaintance through his bowling club, about borrowing $450,000 so that the Debtor could purchase the new snow plow trucks. Weinberg agreed to loan the Debtor the funds. To secure repayment of the loan, the Debtor granted Weinberg a security interest in the trucks.[3] Clemons also personally guaranteed the loan. Pursuant to the terms of a promissory note, the Debtor agreed to make monthly payments to Weinberg, with payments to commence once the plowing business started generating revenue in December 2015. The Debtor purchased the new trucks shortly after receiving the loan proceeds in August 2015.

Thereafter, the Debtor and its local competitors, Tenth Avenue Freeze, Inc. ("Tenth Avenue") and Stone Pony Plowing, LLC ("Stone Pony"), submitted bids for the plowing contract with the City of Badlands. The Debtor's bid was far superior to the other two bids, to the point that several members of the city council publicly questioned whether the Debtor would be able to perform under the contract given the projected small profit margins. Nevertheless, the city council voted to award the contract to the Debtor.

The record suggests that Clemons and Weinberg had a falling out related to, of all things, their mutual love of college football. Weinberg was an alumnus of Moot State University and held season tickets to its football games. Clemons was an alumnus of the University of Moot. In October 2015, Moot State hosted the University of Moot in the annual "big game." Weinberg

[3] The parties submitted a stipulation of undisputed facts to the bankruptcy court wherein they agreed, among other things, that Weinberg properly perfected a purchase money security interest in the snow plow trucks under applicable non-bankruptcy law and, thus, holds a first priority lien on the trucks. Weinberg does not assert that he obtained a security interest in any property of the debtor other than the trucks, by way of a blanket lien or otherwise.

invited Clemons to join him at the game. After the University of Moot beat Moot State in a weather-plagued game, Weinberg and Clemons got into a heated argument about whose football program was better. The record suggests that the two did not speak again for some time thereafter.

The winter of 2015-2016 was an unusually mild one in Badlands. This proved profitable for the Debtor, as its contract with the City paid it a flat rate, whether it snowed or not. Due to the lack of snow, the Debtor's labor, maintenance and fuel costs were far less than expected. Perhaps still angry about their argument, though, Clemons did not make the December 2015 loan payment to Weinberg. After not receiving the first few payments under the note, Weinberg contacted Clemons regarding payment in February 2016.

Following several unanswered calls, Weinberg drove to the Debtor's facility in late February 2016. Another argument ensued. Clemons demanded that Weinberg leave immediately and, according to Weinberg, directed a group of the Debtor's drivers to forcibly remove him from the premises. Weinberg told Clemons that he better "lawyer up," and proceeded to file suit on the note in April 2016 in the State of Moot Circuit Court located in Asbury Park County. As part of the same lawsuit, Weinberg sued Clemons on his personal guarantee. In October 2016, Weinberg obtained a default judgment against both the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees. Placated for the time being by Moot State's victory over the University of Moot in that year's football game, Weinberg did not immediately take any action to collect on his judgment.

Unlike the prior winter, the winter of 2016-2017 was particularly brutal due to several Nor'easters. As good as the prior winter's light snowfall was for the Debtor's business, the heavy snowfall resulted in substantial losses. The monthly payments that the Debtor received

from the City of Badlands were not large enough to allow it to pay its labor, maintenance and fuel costs as they came due. Making matters worse, Weinberg began efforts to collect on his judgment in January 2017. Weinberg hired a repossession company, E Street Auto Recovery, to retrieve the snow plow trucks. E Street successfully repossessed the trucks from the Debtor's parking lot in late January 2017.[4] E Street delivered the trucks to a warehouse owned by Weinberg, where they remain stored to this day.

Without the trucks, the Debtor was unable to fulfill its plowing contract with the City of Badlands, who threatened to cancel the contract and sue the Debtor for damages. Running out of cash, the Debtor filed a chapter 11 petition on February 4, 2017. Shortly after the petition date, the Debtor's attorneys sent Weinberg a letter demanding that the snow plow trucks be returned immediately. Weinberg testified before the bankruptcy court that he refused to return the vehicles based on his understanding that the Debtor had the burden to bring a turnover action, in which case Weinberg could demand adequate protection of his interest in the snow plow trucks.

Instead of commencing a turnover action, the Debtor filed a motion asking the bankruptcy court to determine that Weinberg's continued retention of the vehicles constituted a violation of the automatic stay under section 362(a)(3). Stating that it was a "close call," the bankruptcy court found that Weinberg had not violated the stay, holding that mere retention of property lawfully repossessed prepetition is not an "act to . . . exercise control over property of the estate" within the scope of section 362(a)(3).

The Debtor timely appealed the bankruptcy court's ruling in March 2017. Shortly after the filing of the appeal, however, Clemons concluded that efforts to reorganize the Debtor would

[4] It is undisputed that, although Weinberg repossessed the snow plow trucks in accordance with applicable non-bankruptcy law, no foreclosure or similar proceedings have occurred, and the trucks remain titled in the name of the Debtor.

be futile because, among other reasons, the Badlands city council had informed him that it would not be offering a new contract for the following winter. Out of cash, and with the summer offseason about to begin, the Debtor voluntarily converted the chapter 11 case to a case under chapter 7 of the Bankruptcy Code. The Trustee was appointed to administer the Debtor's bankruptcy estate and liquidate its property on April 13, 2017. The Bankruptcy Appellate Panel stayed the pending appeal in order to allow the Trustee to substitute in for the Debtor and get up to speed on the appeal.

After the conversion of the case to chapter 7, Weinberg decided to pursue collection efforts against Clemons on the judgment related to his personal guarantee. Weinberg hired a collection law firm, who took a creditors' examination of Clemons in May 2017. Through that examination, Weinberg discovered that beginning in May 2016, shortly after the filing of Weinberg's initial lawsuit against the Debtor and Clemons, the Debtor had made transfers of approximately $100,000 in cash directly to a bank account in the name of Clemons' daughter, Patti.

Following the completion of the creditors' examination, Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers. The Trustee filed a complaint against Patti Clemons to avoid and recover the transfers under sections 548 and 550. A settlement was quickly reached whereby Patti Clemons agreed to pay $75,000 to the estate in satisfaction of all claims asserted in the adversary proceeding.

Weinberg incurred $25,000 in legal fees investigating the transfers. After the bankruptcy court approved the settlement, he filed a motion seeking allowance of a substantial contribution administrative expense pursuant to section 503(b). Although the Trustee acknowledged that

Weinberg had made a substantial contribution to the estate, he opposed the motion on the grounds that administrative expenses for substantial contributions are not permissible in a chapter 7 case. According to the Trustee, section 503(b)(3)(D) expressly limits such administrative expenses to cases under chapters 9 and 11. The bankruptcy court approved Weinberg's motion, granting him an allowed administrative expense in the amount of $25,000. The Trustee timely appealed.

In September 2017, the Trustee received a letter from Tenth Avenue whereby it offered to purchase substantially all of the Debtor's assets, including the snow plow trucks. Tenth Avenue had plowing contracts with several neighboring municipalities. It hoped to restart the operations of the Debtor and secure its own contract with the City of Badlands. However, Tenth Avenue's offer to purchase the assets was contingent on the Trustee immediately obtaining possession of, and conveying title to, the snow plow trucks that had been repossessed by Weinberg.

Convinced that Tenth Avenue's "going concern" offer for the business was the best way to maximize value for the benefit of the Debtor's creditors, the Trustee attempted to negotiate with Weinberg for the return of the trucks. After the negotiations proved unsuccessful, the Trustee continued prosecution of the appeal regarding Weinberg's alleged violation of the automatic stay. By continuing the appeal, the Trustee hoped to pressure Weinberg into turning over the trucks so that a sale could be consummated with Tenth Avenue before the winter.

Tenth Avenue withdrew its purchase offer in November 2017 when it became clear that the Trustee would not be able to convey title to the snow plow trucks before the start of the winter plowing season. With Tenth Avenue out of the picture, Stone Pony offered $100,000 less for the Debtor's assets, excluding the snow plow trucks, in January 2018. The Trustee agreed to

accept this offer, believing that the value of the Debtor's remaining assets would only diminish further once winter concluded. The bankruptcy court approved the sale to Stone Pony in February 2018.

Despite the closing of the sale, the Trustee refused to dismiss the appeals. The Trustee has stated that he hopes to prevail on his appeal of the stay violation issue and, thereafter, recover from Weinberg, as damages for his alleged violation of the automatic stay, the difference between the offer initially made by Tenth Avenue and the sale proceeds received from Stone Pony. At the same time, the Trustee proceeded with the substantial contribution appeal. With the consent of the parties, the two appeals were consolidated before the bankruptcy appellate panel. The appellate panel affirmed on both issues. The Trustee timely appealed both determinations to this court.

Discussion

I. Legal Standard

We review a bankruptcy court's decision directly, not the appellate panel's review of the bankruptcy court's decision. *Charbono v. Sumski (In re Charbono)*, 790 F.3d 80, 84-85 (1st Cir. 2015) (citations omitted). The parties do not dispute the facts as set forth herein. Rather, the issues that we address involve questions of law. Thus, our review is de novo. *Texas v. Soileau (In re Soileau)*, 488 F.3d 302, 305 (5th Cir. 2007) (citation omitted). Under a de novo standard of review, the reviewing court decides an issue as if the court were the original trial court in the matter. *Razavi v. Comm'r of Internal Revenue*, 74 F.3d 125, 127 (6th Cir. 1996) (quotation omitted).

II. Section 362(a)(3) Does Not Prohibit A Secured Creditor from Passively Retaining Estate Property That Was Lawfully Repossessed Prepetition

When a debtor files for relief under the Bankruptcy Code, section 362 prevents creditors from taking further action against it except through the bankruptcy court. To effectuate this result, section 362(a) imposes an automatic stay of, among other things, "any act to obtain possession of property of the estate . . . or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3).[5] The estate comprises property of the debtor "wherever located and by whomever held," including "all legal or equitable interests of the debtor in property" as of the petition date. 11 U.S.C. § 541(a)(1). It is not disputed that the snow plow trucks constitute property of the estate within the scope of section 541(a)(1). Although they were lawfully repossessed prior to the petition date, no disposition occurred. Therefore, legal (as well as equitable) title remained with the Debtor on the petition date.

In this case, the Trustee asks us to find that Weinberg violated the automatic stay by passively retaining possession of the trucks post-petition. A number of circuit courts of appeal have held that passive retention of estate property constitutes a prohibited exercise of control within the scope of section 362(a)(3). *See, e.g.*, *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 81 (2d Cir. 2013); *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 703 (7th Cir. 2009). Other circuit courts of appeal have concluded that Congress' use of the word "act" in section 362(a)(3) evidences that some affirmative, post-petition conduct is required in order for a stay violation to be found. *See Davis v. Tyson Prepared Foods, Inc. (In re Garcia)*, 740 Fed. Appx. 163, 164 (10th Cir. 2018); *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 948 (10th Cir. 2017); *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991). We respectfully

[5] No party has alleged that Weinberg violated any other subsection of section 362(a) in this case. Moreover, Weinberg has not alleged that any of the exceptions to the automatic stay set forth in section 362(b) are applicable here. Thus, our analysis focuses solely on section 362(a)(3).

disagree with the conclusion reached by the "passive violation" courts and adopt the analysis of the Tenth and D.C. Circuits, which more faithfully adheres to the text of the statute.

It appears that the "passive violation" view is driven primarily by practical and policy considerations rather than a sound, principled interpretation of the statute. *See* Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What?,* 33 BANKR. L. LETTER 9, Sept. 2013, at 1. As in all statutory interpretation cases, we begin with the statutory language. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240-41 (1989). The Supreme Court has instructed us to "presume that a legislature says in a statute what it means and means in a statute what it says there. . . When the words of a statute are unambiguous, then this first canon is also the last: 'judicial inquiry is complete.'" *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992) (internal citations omitted).

In this case, the relevant statutory provision is section 362(a)(3). That section plainly identifies two separate types of stay violations, both of which require an "act", specifically: (i) an "act" to obtain possession of property of the estate, and (ii) an "act" to exercise control over property of the estate. When the meaning of a term that is neither considered a term of art nor expressly defined by statute is in question, courts should consult the ordinary meanings contained in general and legal dictionaries. *See Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995). Applying this canon of construction, the term "act" is defined as "the process of doing something or performing." BLACK'S LAW DICTIONARY 27 (9th ed. 2009). The statute, therefore, unambiguously precludes entities from "doing something" to obtain possession of, or to exercise control over, property of the estate. In the absence of some post-petition "act" by the non-debtor party, however, no stay violation exists. *See Cowen*, 849 F.3d at 949; *Inslaw*, 932 F.2d at 1474.

Full understanding of this issue requires appreciation of the relationship between two additional code provisions. First, section 363 authorizes a trustee to use or sell estate property with court approval. Subsection (e) of section 363 protects third parties who have an interest in such property, by providing that:

> Notwithstanding any other provision of [section 363], at any time, on request of an entity that has an interest in property . . . proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale or lease as is necessary to provide adequate protection of such interest.

Second, section 542(a) provides that "an entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363" shall deliver such property to the trustee "unless such property is of inconsequential value or benefit to the estate." This power, colloquially referred to as the turnover power, allows the trustee in bankruptcy to recover property that was "out of the possession of the debtor, yet remained 'property of the debtor'" on the petition date.[6] *Inslaw*, 932 F.3d at 1471 (citing legislative history).

According to the "passive violation" courts: "Section 542 requires that any entity in possession of property of the estate deliver it to the trustee, without condition or any further action: the provision is self-executing." *In re Weber*, 719 F.3d at 79 (internal quotation and citation omitted); *see also Thompson*, 566 F.3d at 702. To the contrary, the statute clearly contemplates that the turnover power is not self-effectuating. Rather, section 542(a) merely provides a procedure whereby a trustee can seek entry of an order compelling turnover of property of the estate that is held by another. *See In re Hall*, 502 B.R. 650, 654-59 (Bankr. D.D.C. 2014) (analyzing the history and purpose of the turnover power).

[6] In a chapter 11 case, the debtor acts as a debtor in possession pursuant to section 1101(1), and is vested with a trustee's rights under section 542(a) pursuant to section 1107(a).

The "passive violation" view relies heavily on *United States v. Whiting Pools, Inc.,* 462 U.S. 198 (1983), wherein the Supreme Court permitted a chapter 11 debtor to obtain turnover of property in the hands of the Internal Revenue Service. But *Whiting Pools* acknowledged that the statute contains "explicit limitations" on section 542(a). *Id.* at 206 n.12. For example, a party subject to a turnover action is permitted to assert defenses to turnover including by disputing whether such property is property of the estate in the first place or, even if it is property of the estate, by asserting that the property is "of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). Additionally, because section 542(a) expressly references section 363, the turnover power is necessarily subject to section 363(e) which, as noted, requires the bankruptcy court to "prohibit or condition" turnover "as is necessary to provide adequate protection of" the non-debtor's interest in the property. 11 U.S.C. § 363(e). These limitations evidence that the turnover power is not self-effectuating.[7]

Interpreting the turnover power as automatic, as the "passive violation" courts do, effectively writes these "explicit limitations" out of the Bankruptcy Code and vitiates the safeguards contemplated for parties lawfully in possession of property that may arguably fall within the broad scope of property of the estate. The "passive violation" courts' interpretation of the statute would be particularly problematic in cases where a secured lender holds property subject to a possessory lien. If the requirement to relinquish possession of such collateral is automatic, as the "passive violation" courts insist it is, such creditors would be forced to choose between: (i) immediately turning the property over, thereby potentially losing their possessory

[7] This conclusion is bolstered by Bankruptcy Rule 7001(1), which provides that "a proceeding to recover money or property," such as a turnover proceeding, requires the commencement of an adversary proceeding, and the procedural protections contemplated therein. *See, e.g.*, *In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990) (citations omitted) (holding that turnover actions fall within the scope of Bankruptcy Rule 7001(1)).

lien, or (ii) willfully violating the stay by retaining such property pending a determination of their rights.

"It is an elementary rule of construction that 'the act cannot be held to destroy itself.'" *Citizens Bank of Md. v. Strumpf,* 516 U.S. 16, 20 (1995) (quotation omitted). Therefore, the better interpretation of the statute, and the interpretation that gives meaning and effect to sections 363(e) and 542(a), is that the Bankruptcy Code contemplates a trade-off. A creditor in possession of property of the estate may be compelled to turn such property over to the trustee by way of a turnover action brought pursuant to section 542(a) and Bankruptcy Rule 7001(1). However, such turnover is subject to a condition precedent, to wit, a creditor's right to defend the turnover action and/or receive adequate protection of its interest pursuant to section 363(e).[8] Indeed, this tradeoff was acknowledged in *Whiting Pools,* where the Supreme Court stated: "The Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." *Whiting Pools,* 462 U.S. at 207.

The "passive violation" courts reason that the expansion of section 362(a)(3) as part of the Bankruptcy Amendments and Federal Judgeship Act of 1984 to prohibit acts "to exercise control over property of the estate" was intended to redress situations such as this. Prior to 1984, "the Code's stay provision only prohibited any act to obtain possession of property belonging to a bankruptcy estate." *Thompson*, 566 F.3d at 702. The 1984 Amendments "broadened the already sweeping provisions of the automatic stay" to prohibit "any act . . . to exercise control

[8] Moreover, it would be inequitable to secured creditors to require them to immediately turn repossessed collateral over to the debtor before a determination of adequate protection is made. By way of example, if a turned over vehicle is destroyed in an accident prior to the court awarding adequate protection to the creditor in the form of proof of insurance identifying the creditor as a loss payee, the creditor would be irreparably – and unfairly – harmed. *See, e.g.*, *In re Denby-Peterson*, 576 B.R. 66, 82 (Bankr. D.N.J. 2017) *aff'd*, 2018 WL 5729907, at *6 (D.N.J. Nov. 1, 2018).

over the property of the estate." *In re Weber*, 719 F.3d at 80. The "passive violation" courts infer that the expansion of section 362(a)(3) can only mean that Congress "intended to prevent creditors from retaining property of the debtor." *See id.*

It is equally plausible, however, that the prohibition against "exercising control" was aimed at factual scenarios other than forcing turnover of collateral in derogation of a secured creditor's established rights under sections 363(e) and 542(a). A common example of "exercising control" that would be prohibited by section 362(a)(3), as amended, involves utilizing or pursuing intangible property rights that belong to the estate, such as contract rights or causes of action. Such intangible property rights cannot be "possessed," so they did not fall within the scope of the pre-1984 language of section 362(a)(3). The 1984 amendment to section 362(a)(3) can be given meaning, then, by viewing the "exercise control" language as protecting against interference with such intangible rights that belong to the estate. *See In re Hall*, 502 B.R. at 665.

Finally, Congress does not "hide elephants in mouseholes." *Whitman v. Am. Trucking Ass'ns, Inc.*, 531 U.S. 457, 468 (2001). As the *Cowen* court noted: "If Congress had meant to add an affirmative obligation . . . to turn over property belonging to the estate, it would have done so explicitly." *Cowen*, 849 F.3d at 950. And it likely would have done so by amending section 542, not section 362. It is highly unlikely that Congress would indirectly impose a self-effectuating turnover obligation via section 362(a)(3) that exceeds the scope of section 542(a) itself. *See Denby-Peterson v. Nu2u Auto World*, 2018 WL 5729907, at *5 (D.N.J. Nov. 1, 2018). This is particularly true because willful violations of the automatic stay in bankruptcy may expose the offending party to liability for compensatory damages, costs, attorney's fees, and, in some cases, punitive damages. *See, e.g.,* 11 U.S.C. §§ 105(a) and 362(k).

Adhering to the text of the statute, as we must, we adopt the view espoused by the Tenth and D.C. Circuits. Only affirmative acts to gain possession of, or to exercise control over, estate property violate section 362(a)(3). Refusing to immediately turn over property lawfully possessed is not the kind of post-petition "control" that violates the stay. Weinberg may ultimately be ordered to deliver the snow plow trucks to the Trustee upon the commencement of an adversary proceeding seeking turnover pursuant to section 542(a). However, such a proceeding is not presently before the court. Accordingly, we affirm the bankruptcy court's determination that Weinberg did not violate the automatic stay.

III. Substantial Contribution Administrative Expenses are Permitted in Chapter 7

The second issue before the court requires us to determine whether a party in interest can be granted an administrative expense for making a substantial contribution in a chapter 7 case. Generally speaking, the Bankruptcy Code contemplates that the holders of administrative expenses must be paid in full before unsecured creditors receive any distribution. 11 U.S.C. § 507(a). At issue here is whether amounts sought by Weinberg for making a substantial contribution in this chapter 7 case are entitled to priority as an administrative expense.

Once again, we begin with the statutory language. Section 503(b) contains a non-exclusive list of specific categories of expenses that shall be allowed as administrative expenses. The non-exclusive nature of this list is evidenced by the insertion of the word "including" in section 503(b), which provides: "After notice and a hearing, there shall be allowed, administrative expenses . . . ***including*** - . . ." 11 U.S.C. § 503(b) (emphasis added). One category of itemized administrative expenses speaks to efforts by creditors who make a substantial contribution in a bankruptcy case. Specifically, section 503(b)(3)(D) allows an administrative expense for "the actual, necessary expenses . . . incurred by . . . a creditor . . . in

making a substantial contribution in a case under chapter 9 or 11 of this title."[9] Section 503(b)(3)(D) does not address substantial contribution administrative expenses in cases under other chapters of the Bankruptcy Code, such as chapter 7.[10]

In this case, the parties do not dispute that Weinberg made a substantial contribution to the bankruptcy estate. Rather, the only dispute is whether the court can grant an administrative expense for such substantial contribution where, as here, the case is a chapter 7 case. Once again, courts are divided on this issue. Some courts reject any claim for substantial contribution by creditors in a chapter 7 case. *See, e.g.*, *Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d Cir. 1994); *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *5 (B.A.P. 9th Cir. Oct. 7, 2005). Such courts hold that the phrase "in a case under chapter 9 or 11" in section 503(b)(D) precludes the grant of a substantial contribution administrative expense in a chapter 7 case, relying on the precept *expressio unius est exclusio alterius* (*i.e.*, to express or include one thing implies the exclusion of another). *See also N.L.R.B. v. SW Gen., Inc.*, U.S. __, 137 S. Ct. 929, 940 (2017) (discussing *expressio unius est exclusio alterius*).

However, a more recent trend in the case law has emerged based on *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810 (6th Cir. 2015), wherein the Sixth Circuit adopted a more flexible, totality of the circumstances approach. In *Connolly,* the Sixth Circuit relied on the term "including" and principles of equity to find that the enumerated categories of administrative expenses are not exhaustive and, therefore, a court is not precluded

[9] Section 503(b)(3) also specifies expenses incurred by "a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor. . ." 11 U.S.C. § 503(b)(3)(B). This subsection is not applicable in the present case because Weinberg did not request or obtain court approval to pursue the fraudulent transfer claims on behalf of the estate.

[10] Section 503(b)(4) also authorizes the payment of "reasonable compensation for professional services rendered by an attorney" on behalf of a creditor in connection with a claim allowed under section 503(b)(3).

from awarding a substantial contribution administrative expense in a chapter 7 case. In the few years since *Connolly* was decided, a number of lower courts have adopted the Sixth Circuit's analysis. *See, e.g.*, *In re Javed*, 2018 WL 4955839, at *4 (Bankr. D. Md. Oct. 11, 2018); *In re Maust Transp., Inc.*, 589 B.R. 887, 898-99 (Bankr. W.D. Wash. 2018); *In re Health Trio, Inc.*, 584 B.R. 342, 353-54 (Bankr. D. Colo. 2018); *In re Maqsoudi*, 566 B.R. 40, 44-45 (Bankr. C.D. Cal. 2017).

This is yet another challenging issue of statutory interpretation,[11] and on first glance there is some appeal to limiting substantial contribution administrative expenses to cases under chapters 9 and 11. *See* 11 U.S.C. § 503(b)(3)(D). As the dissent notes, such an interpretation is consistent with the axiom that the provisions of section 503(b) should be strictly construed because of the overarching goal of keeping administrative expenses at a minimum, thereby preserving the estate for the benefit of all creditors. *See, e.g.*, *Suplee v. Bethlehem Steel Corp. (In re Bethlehem Steel Corp.)*, 479 F.3d 167, 172 (2d Cir. 2007). Nevertheless, after a thorough review of the applicable code provisions and case law, we are persuaded that the reasoning of the Sixth Circuit in *Connolly* is more consistent with both the plain meaning and the structure of the statute.

The word "including" in the prefatory language of section 503(b) must be given meaning, *Hibbs v. Winn*, 542 U.S. 88, 101 (2004) (quotation omitted) ("A statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant, . . ."), and the only way to do that is to acknowledge that administrative expenses other than the statutory examples are permissible. Indeed, the Bankruptcy Code itself provides

[11] We are reminded of Congress' declaration in 1914 that: "The bankruptcy law has now been so thoroughly construed that there is not much doubt about any of its provisions." *See* H.R. REP. NO. 1182, 63d Cong., 2d Sess. 1 (1914); S. REP. NO. 847, 63d Cong., 3d Sess. 2 (1914).

in section 102(3) that the terms "includes" and "including" are not limiting. 11 U.S.C. § 102(3). Thus, as several appellate courts (and even more lower courts) have opined, section 503(b) was intended to provide a non-exclusive list of claims entitled to administrative expense priority. *See, e.g.*, *Al Copeland Enters. Inc. v. Texas (In re Al Copeland Enters., Inc.)*, 991 F.2d 233, 238 (5th Cir. 1993); *Ala. Surface Mining Comm'n v. N.P. Mining Co., Inc. (In re N.P. Mining Co. Inc.)*, 963 F.2d 1449, 1452 (11th Cir.1992). The insertion of the term "including" into the introductory paragraph of section 503(b), therefore, provides bankruptcy courts with much needed flexibility in dealing with specific factual situations where the grant of an administrative expense is warranted.

Certainly, section 503(b)(3)(D) does not expressly preclude a bankruptcy court from using its discretion to award a substantial contribution administrative expense in chapter 7 cases based on the prefatory language in section 503(b). If Congress had intended such a result, it could have said so.[12] Indeed, as the *Connolly* court observed, there is a reasonable explanation for why section 503(b)(3)(D) references only cases under chapters 9 and 11:

> It makes good sense that in providing the examples [in section 503(b)], Congress would expressly mention Chapters 9 and 11 in the context of creditor activity making a "substantial contribution," but not Chapter 7. In both Chapters 9 and 11, as a matter of course, a creditor will spend its own time and resources to benefit the estate; however, in all but the most atypical Chapter 7 case (such as the instant case), the U.S. trustee fulfills this role.

In re Connolly N. Am., LLC, 802 F.3d at 817 (citation omitted). In other words, it is fair to infer that chapters 9 and 11 were expressly referenced in the statute because such cases require creditors to step in and make a substantial contribution for the benefit of the estate far more frequently than chapter 7 cases do. This is because of the important fiduciary role that trustees

[12] See, for example, section 503(c), where Congress recently reduced the broad discretion previously afforded to courts in awarding compensation to insiders as an administrative expense.

play in most chapter 7 cases, in contrast to chapters 9 and 11 where the debtor usually remains in possession of the estate.

Importantly, our conclusion today is rooted in the "overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction." *Bank of Marin v. England*, 385 U.S. 99, 103 (1966) (citations omitted). Indeed, the Supreme Court has for decades recognized that bankruptcy courts "are essentially courts of equity, and their proceedings [are] inherently proceedings in equity." *See Local Loan Co. v. Hunt*, 292 U.S. 234, 240 (1934) (citations omitted); *see also Pepper v. Litton*, 308 U.S. 295, 307 (1939) ("As we have said, the bankruptcy court in passing on allowance of claims sits as a court of equity.").[13] Although bankruptcy courts' equitable powers are not unlimited "their decisions are unimpeachable so long as these powers are 'exercised within the confines of the Bankruptcy Code.'" *In re Connolly N. Am., LLC*, 802 F.3d at 814 (citation omitted).

In this case, the Trustee acknowledges that Weinberg made a substantial contribution to the chapter 7 estate. Such efforts, which resulted in a quick settlement of the fraudulent transfer claims, should be rewarded as they enhanced the pool of funds available for creditors. Failing to award an administrative expense to a creditor like Weinberg, who takes action to benefit the estate, could deter creditors from participating in chapter 7 cases. *In re Maust Transp., Inc.*, 589 B.R. at 898-99 ("If the particular facts of a case warrant reimbursement, the court should have the ability to fashion a remedy that will foster rather than hinder such actions for the benefit of the estate."). Section 503(b) simply cannot be read to compel such a result.

It is not our place to add restrictions to section 503(b) that were not expressly set forth

[13] Bankruptcy courts' equitable powers are expressly reinforced by section 105(a), which provides that: "The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title." 11 U.S.C. § 105(a).

therein. Rather, that is the job of Congress. Section 503(b)'s broad language empowers bankruptcy courts to award substantial contribution administrative expenses in chapter 7 cases where, as here, the grant of such an award is equitable based on the totality of the circumstances. Accordingly, we affirm the holding of the bankruptcy court granting Weinberg an allowed administrative expense pursuant to section 503(b).

Conclusion

For the reasons set forth herein, we AFFIRM the decision of the bankruptcy court below.

MOON, Circuit Judge, dissenting:

I respectfully dissent from both of the conclusions reached by the majority. With its holdings today, the majority promotes the interests of individual creditors over the bankruptcy estate and its creditor constituency by "rewriting the law under the pretense of interpreting it."[14] While the majority's desire to protect the interests of individual creditors may be commendable, it is nonetheless irreconcilable with the Bankruptcy Code.

[14] *King v. Burwell*, U.S._, 135 S. Ct. 2480, 2506 (2015) (Scalia, J., dissenting).

I. Passive Retention of Property of the Estate Violates Section 362(a)(3)

Relying on the "minority approach" recently revived by one of our sister circuits, the majority concludes that section 362(a)(3) prohibits only affirmative acts to exercise control over property of the estate. *See, e.g.*, *WD Equip., LLC v. Cowen (In re Cowen)*, 849 F.3d 943, 950 (10th Cir. 2017). The majority reasons that in order to prevent prejudice to creditors like Weinberg, section 362(a)(3) must logically be read to permit creditors to passively retain repossessed property of the estate without violating the automatic stay.

The majority misinterprets section 362(a)(3). The plain text of the statute compels me to conclude that the passive retention of property of the estate violates the automatic stay. I therefore join four other circuit courts of appeal in finding the "majority approach" to be more persuasive. *See Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 81 (2d Cir. 2013); *Thompson v. Gen. Motors Acceptance Corp., LLC*, 566 F.3d 699, 707-708 (7th Cir. 2009); *State of Cal. Emp't Dev. Dept. v. Taxel (In re Del Mission Ltd.)*, 98 F.3d 1147, 1151 (9th Cir. 1996); *Knaus v. Concordia Lumber Co., Inc. (In re Knaus)*, 889 F.2d 773, 775 (8th Cir. 1989).

As the majority correctly notes, the starting and ending point for any matter of statutory interpretation is the plain meaning of the text. Focusing exclusively on the term "act," the majority concludes that Weinberg's continued possession of property of the estate did not violate section 362(a)(3). Without so much as a mention, the majority removes the phrase "to exercise control" from the statute. *Cf. Duncan v. Walker*, 533 U.S. 167, 174 (2001) (citations omitted) (statute should be interpreted to give every clause and word meaning). However, when the phrase "to exercise control" is properly considered, it is clear that even passive retention of estate property violates the automatic stay.

Neither the phrase "any act . . . to exercise control" nor any of the words contained therein are defined in the Bankruptcy Code. According to a leading legal dictionary, the term "control" is defined as, among other things, "[t]o exercise restraining or directing influence over. To regulate; restrain; dominate; curb; to hold from action; overpower; counteract; govern." BLACK'S LAW DICTIONARY 329 (6th ed. 1990); *see Thompson*, 566 F.3d at 702 (citation omitted); *In re Weber*, 719 F.3d at 79 (citation omitted). By retaining possession of the snow plow trucks, refusing to return them, and otherwise prohibiting the Debtor from using property of the estate, Weinberg violated the automatic stay under section 362(a)(3). The inquiry should therefore end here.

Even if its restrictive reading of the statute is correct, the majority misconstrues the term "act," because, of course, Weinberg did "do something." *Accord In re Peake*, 588 B.R. 811, 832 (Bankr. N.D. Ill. 2018) (citation omitted) ("act" should be given "broadest meaning when construing the expansively-interpreted language in section 362(a)(3)"). Weinberg prevented the Debtor from obtaining access to property of the estate that was critical to the Debtor's rehabilitation efforts. *See, e.g.*, *Thompson*, 566 F.3d at 702; *see also* Hon. Eugene R. Wedoff, *The Automatic Stay Under § 362(a)(3) – One More Time*, 38 BANKR. L. LETTER 7, July 2018, at 1.

The "majority approach" is consistent with the history of section 362(a)(3). Prior to 1984, section 362(a)(3) only stayed "any act to obtain possession of property of the estate or of property from the estate." *TranSouth Fin. Corp. v. Sharon (In re Sharon)*, 234 B.R. 676, 682 (B.A.P. 6th Cir. 1999). When it expanded section 362(a)(3) to prohibit any exercise of control over property of the estate, Congress made it clear that all property of the estate, including any property obtained by a creditor prepetition, must be promptly turned over to the trustee. After

all, withholding possession "is the essence of exercising control" over property. *Id.* at 682. To hold otherwise would be inconsistent with Congress' intention to prevent creditors from retaining property of the estate "in derogation of . . . bankruptcy procedure and the broad goals" of the Bankruptcy Code. *In re Weber*, 719 F.3d at 80.

Perhaps acknowledging that its plain meaning analysis is incomplete, the majority looks beyond section 362(a)(3). According to the majority, section 542(a), which requires turnover of property of the estate, is not self-effectuating, meaning that a trustee must affirmatively request turnover as a prerequisite to any violation of the automatic stay under section 362(a)(3). The majority's interpretation is not supported by the Bankruptcy Code and, for the most part, was rejected by the United States Supreme Court in *United States v. Whiting Pools*, 462 U.S. 198, 206-207 (1983).

Congress chose to use the term "shall," not the permissive "may," in section 542(a), signaling that turnover of property of the estate is mandatory. *See Kingdomware Tech., Inc. v. United States*, U.S.__, 136 S. Ct. 1969, 1977 (2016) (citations omitted). Regardless of the circumstances, creditors are required to turn over property of the estate without the need for the trustee to first seek relief from the court. 5 COLLIER ON BANKRUPTCY ¶ 542.03 (16th ed. 2017) ("By its express terms, [section 542] is self executing, and does not require that the trustee take any action or commence a proceeding or obtain a court order to compel the turnover."). As evidenced by section 542(e), Congress knew how to require court intervention. Yet Congress chose not to do so with respect to section 542(a). *Compare* 11 U.S.C. § 542(a) ("shall deliver") *with* 11 U.S.C. § 542(e) (court may require turnover only "after notice and a hearing"). In this case, Weinberg was required to promptly turn over the snow plow trucks because they were property of the estate. Weinberg's continued control over the trucks violated the automatic stay

in that it denied the Debtor the ability to use such trucks to further its reorganization efforts. It is that simple.

Notwithstanding the Debtor's right to use property of the estate, the majority reads an exception into sections 362(a)(3) and 542(a) by concluding that a creditor's right to adequate protection under section 363(e) somehow excuses turnover. The majority's interpretation is at odds with *Whiting Pools*, wherein the Court explained that:

> [Section 542(a)] requires an entity (other than a custodian) holding any property of the debtor that the trustee can use under § 363 to turn that property over to the trustee. Given the broad scope of the reorganization estate, property of the debtor repossessed by a secured creditor falls within this rule, and therefore may be drawn into the estate. While there are explicit limitations on the reach of § 542(a), none requires that the debtor hold a possessory interest in the property at the commencement of the reorganization proceedings. . .
>
> In effect, § 542(a) grants to the estate a possessory interest in certain property of the debtor that was not held by the debtor at the commencement of the reorganization proceedings.

Whiting Pools, 462 U.S. at 206-207 (internal citations and footnotes omitted).

The majority takes no issue with *Whiting Pools*, nor can it. Instead, the majority focuses on the Court's statement that certain "explicit limitations" may excuse turnover under section 542(a). The majority concludes that such limitations must logically include a creditor's right to adequate protection under section 363(e).[15] Practically speaking, this conclusion has some appeal, especially where a creditor's security interest in property of the estate is wholly-

[15] The majority also identifies two other explicit limitations. First, section 542(a) does not require turnover of property that is not property of the estate. Second, even if the property constitutes property of the estate, such property is of inconsequential value or benefit to the estate. I do not disagree with these general observations. However, if there is a dispute regarding whether the property is property of the estate under section 541, it will be litigated. *See* Fed. R. Bankr. P. 7001(1). In the event that the non-debtor party prevails, there will be no violation of the automatic stay under section 362(a)(3). Similarly, if the property is of inconsequential value or benefit to the estate, it will be litigated or the property abandoned. *See* 11 U.S.C. § 554.

dependent on continuous possession. *Whiting Pools*, however, undercuts the majority's conclusion.

Whiting Pools identifies three exceptions to section 542(a), none of which include adequate protection under section 363(e). *Id.* at 206 n.12. The Court explained that "[s]ection 542(a) simply requires the [creditor] to seek protection of its interest according to the congressionally established procedures, rather than by withholding the seized property. . ." *Id*. at 211-12; *see In re Weber*, 719 F.3d at 80; *Rutherford v. Auto Cash, Inc. (In re Rutherford)*, 329 B.R. 886, 895-96 (Bankr. N.D. Ga. 2005). Those "established procedures" include any request for adequate protection under section 363(e) which, unlike section 542(a), is not self-executing. 11 U.S.C. § 363(e); *see Whiting Pools*, 462 U.S. at 204 ("at the secured creditor's insistence," bankruptcy court must condition trustee's ability to use, sell or lease property of estate); *see also In re Kain*, 86 B.R. 506, 512 (Bankr. W.D. Mich. 1988) ("[I]f you don't ask for it, you won't get it.").[16] In short, the majority's reliance on sections 363(e) and 542(a) is "exactly the argument rejected by the Supreme Court in *Whiting Pools*." *In re Sharon*, 234 B.R. at 683.

Finally, from a policy perspective, I cannot overlook the potentially problematic consequences of the majority's conclusion. As one of our sister circuits observed:

> [i]f persons who could make no substantial adverse claim to a debtor's property in their possession could, without cost to themselves, compel the debtor or his trustee to bring suit as a prerequisite to returning the property, the powers of a bankruptcy court and its officers to collect the estate for the benefit of creditors would be vastly reduced.

In re Del Mission Ltd., 98 F.3d at 1151 (quotation omitted).

[16] According to the majority, creditors dependent on a possessory lien will be severely prejudiced by having to turnover such property pending a request for adequate protection. Not so. The Bankruptcy Code and the Bankruptcy Rules already protect against this possibility. *Stephens v. Guaranteed Auto, Inc. (In re Stephens)*, 495 B.R. 608, 614 (Bankr. N.D. Ga. 2013) (identifying means by which creditor can protect its interest while still complying with sections 362 and 542).

This appeal is a case in point from the standpoint of a commercial debtor in chapter 11. Through Weinberg's "act," he initially impeded the Debtor's reorganization efforts. As if that were not enough, he subsequently prevented the Trustee from maximizing value for the estate and its creditors by disrupting the proposed sale to Tenth Avenue. The majority's interpretation of the statute is perhaps even more troublesome when viewed from the perspective of a consumer debtor in chapter 13, who may, for example, need a repossessed vehicle to travel to work, thereby enabling him to generate income from which to fund his plan and provide for his family. *See Thompson*, 566 F.3d at 702 ("An asset actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot.").

For all intents and purposes, the majority's conclusion now requires piecemeal assembly of the estate, the consequences of which are twofold. First, debtors will be denied any realistic prospect of reorganization and the fresh start to which they would otherwise be entitled. Second, creditors will be deprived of the maximum distribution of estate assets due to increased costs of administration. This cannot be what Congress had in mind.

For these reasons, it is clear that Weinberg's conduct constituted a violation of the automatic stay. I would therefore reverse the decision of the bankruptcy court and remand for a determination as to the appropriate amount of sanctions against Weinberg under sections 362(a)(3) and 105(a).

II. Section 503(b)(3)(D) Precludes Allowance of an Administrative Expense for Making a Substantial Contribution in a Chapter 7 Case

Again relying on the "minority approach" recently endorsed by one of our sister circuits, the majority concludes that a creditor may be awarded an administrative expense under section 503(b) for a substantial contribution made in a chapter 7 case, notwithstanding the express restriction in section 503(b)(3)(D) that confines such administrative expenses to chapters 9 and

11. *See, e.g.*, *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F.3d 810, 819 (6th Cir. 2015). The majority reasons that by using the word "including" in the introductory paragraph to section 503(b), section 503(b)(3)(D) is but one example of a multitude of administrative expenses, the allowance of which should be shaped by equitable principles.

With its holding today, the majority sacrifices decades of bankruptcy jurisprudence by reducing section 503(b) to nothing more than an equitable statute without any restrictions whatsoever. As recognized by the majority of courts to have considered this issue, section 503(b)(3)(D) prohibits courts from allowing administrative expenses for substantial contributions made in chapter 7 cases. *See, e.g.*, *In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996); *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 946 (3d Cir. 1994); *In re Fesco Plastics Corp., Inc.*, 996 F.2d 152, 157 n.5 (7th Cir. 1993); *see also Goodman v. Phillip R. Curtis Enter., Inc.*, 809 F.2d 228, 231 n.4 (4th Cir. 1987); *In re Am. Motor Club, Inc.*, 125 B.R. 79, 82 (Bankr. E.D.N.Y. 1991) (Duberstein, J.). For the second time today, I must respectfully dissent.

As the Supreme Court has repeatedly reminded us, "[w]hen the statute's language is plain, the sole function of the courts – at least where the disposition required by the text is not absurd – is to enforce it according to its terms." *Lamie v. U.S. Trustee*, 540 U.S. 526, 534 (2004) (citation and internal quotations omitted). Here, the starting point is section 503(b)(3)(D), which provides that certain parties in interest, including creditors, are entitled to an administrative expense for "making a substantial contribution in a case under chapter 9 or 11. . ." 11 U.S.C. § 503(b)(3)(D).

Congress clearly knew how to provide for an administrative expense for making a substantial contribution. While it did so with respect to cases under chapters 9 and 11, Congress chose not to with respect to chapter 7. *In re Hackney*, 351 B.R. 179, 201 (Bankr. N.D. Ala.

2006) (citation omitted)); *see also Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000) (Congress "says in a statute what it means and means in a statute what it says there."). Unlike the majority, I decline "to engage in speculation" nor will I "attempt to divine congressional wisdom." *U.S. Trustee v. Farm Credit Bank of Omaha (In re Peterson)*, 152 B.R. 612, 614 (D.S.D. 1993). Congress made a decision to exclude an administrative expense for a substantial contribution in chapter 7, and the courts have a duty to follow it. The inquiry should therefore end here.

For reasons unpersuasive to me, the majority disregards the plain meaning of section 503(b)(3)(D), as well as the oft-stated principle that administrative expenses are to be strictly construed to ensure equality of distributions from the bankruptcy estate. *See generally* 4 COLLIER ON BANKRUPTCY ¶ 503.06 (16th ed. 2017). While I do not disagree with the general observation that the use of the term "including" is illustrative, the majority takes it too far. Section 503(b) establishes a non-exhaustive list of nine administrative expenses that may be allowed. 11 U.S.C. § 503(b)(1)-(9). Notwithstanding this non-exhaustive list, Congress also imposed certain restrictions, six of which are contained in the subsections to section 503(b)(3). *See, e.g.*, *In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013) (citations omitted); *In re Blount*, 276 B.R. 753, 764 (Bankr. M.D. La. 2002).

Unlike section 503(b), section 503(b)(3) does not use the term "including," giving rise to the inference that the list of administrative expenses allowable under section 503(b)(3) is exhaustive, at least with respect to those categories of administrative expenses set forth in that subsection. *See* 11 U.S.C. § 503(b)(3)(A)-(F); *compare* 11 U.S.C. § 503(b)(1)(A) (using term "including") with 11 U.S.C. § 503(b)(3) (omitting term "including"). When, like here, a statute sets forth a series of items in a general rule but excludes the term "including," the canon of

expressio unius est exclusio alterius applies, under which a court infers an intention to restrict the statute's application to only those specific examples listed. *Mosier v. Kupetz (In re United Educ. & Software)*, 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005) (citation omitted); *see also Morales v. Trans World Airlines, Inc.*, 504 U.S. 374, 384 (1992) (more specific statute governs the more general when both address same subject matter). Section 503(b)(3)(D) thus acts as a counter-balance to the term "including" in the introductory paragraph of section 503(b) by limiting the circumstances under which an administrative expense for a substantial contribution can be allowed. *See In re Fontainebleau Las Vegas Holdings, LLC*, 574 B.R. 895, 903 (Bankr. S.D. Fla. 2017) (citation omitted).

By reducing section 503(b)(3)(D) to a mere illustration, the majority renders that subsection without any meaning whatsoever. *Cf. TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001) (citations omitted) (statute should be construed so as not to render any clause, sentence, or word superfluous, void or insignificant). Attempting to overcome this flaw, the majority proclaims that section 503(b)(3)(D) nonetheless has a purpose. According to the majority, section 503(b)(3)(D) is part of a "contextual framework" designed to provide "guidance" to the courts. The majority reasons that Congress did not include chapter 7 in section 503(b)(3)(D) because only in rare cases will a creditor need to fulfill the duties of a chapter 7 trustee or the United States Trustee. Yet the legislative history to section 503(b)(3)(D) reveals that Congress purposely limited the scope of section 503(b)(3)(D) so as to exclude chapter 7. *See In re Connolly N. Am., LLC*, 802 F.3d at 821-22 (O'Malley, J., dissenting) (citations omitted). Simply because Congress did not foresee the need for a creditor to make a substantial contribution in a chapter 7 case does not justify a departure from the plain meaning of section 503(b)(3)(D).

The majority relies heavily on *Connolly*, a split decision from the Sixth Circuit. For several reasons, *Connolly* is not persuasive. First, *Connolly* attempts to cloak its reliance on principles of equity by suggesting that the plain meaning rule dictates the outcome. *See In re Connolly N. Am., LLC*, 802 F.3d at 814-15. Equity, however, only goes so far in bankruptcy. *See, e.g.*, *Law v. Siegel*,__ U.S.___, 134 S. Ct. 1188, 1194-95 (2014). Second, the majority's use of equity to afford relief to Weinberg is wholly unnecessary. Congress provided creditors like Weinberg with a means by which to obtain an administrative expense for their efforts to recover fraudulently transferred property, provided they first seek court approval. *See* 11 U.S.C. § 503(b)(3)(B); 11 U.S.C. § 503(b)(4). Third, *Connolly* is an outlier. *In re Connolly N. Am.*, 802 F.3d at 822-23 n.2 (O'Malley, J., dissenting) (collecting cases). At the time *Connolly* was decided, 86% of the courts confronted with the issue held that a court cannot allow an administrative expense for a substantial contribution in chapter 7, while only 14% agreed with the *Connolly* majority. *In re Health Trio, Inc.*, 584 B.R. 342, 353 (Bankr. D. Colo. 2018). There is a reason for such disparity in the case law – the limitations established by section 503(b)(3)(D) could not be more clear.[17]

In sum, the majority's conclusion does not comport with Congress' directive under section 503(b)(3)(D), no matter how inequitable the result may be to creditors like Weinberg. Whether intended or not, the majority's decision will have consequences far beyond section 503(b)(3)(D). Taking the majority's holding to its logical conclusion, administrative expenses in this circuit are no longer subject to any boundaries, restrictions or limitations. They may now be

[17] As the *Connolly* dissent notes, *Connolly* arguably created an intra-circuit split within the Sixth Circuit. *See In re Connolly N. Am., LLC,* 802 F.3d at 822 (O'Malley, J., dissenting) (citing and discussing *Hyundai Translead, Inc. v. Jackson Truck & Trailer Repair, Inc. (In re Trailer Source, Inc.)*, 555 F.3d 231, 243 (6th Cir. 2009)).

allowed in any and all forms.[18] This could not have been Congress' intent. I therefore cannot join the majority's opinion on this issue and again must respectfully dissent.

[18] With its decision today, the majority has seemingly transformed section 503(b) into a statute founded in nothing more than equity. The majority's interpretation begs the question – do any of this court's previous decisions regarding administrative expenses under section 503(b) remain precedential, or are the lower courts in this circuit now given the discretion to rule as they choose based solely on the equities?

STATUTES

11 U.S.C. 362

a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

4) any act to create, perfect, or enforce any lien against property of the estate;

5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

8) the commencement or continuation of a proceeding before the United States Tax Court

concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

b) The filing of a petition under section 301, 302, or 303 of this title, or of an application under section 5(a)(3) of the Securities Investor Protection Act of 1970, does not operate as a stay—

. . .

3) under subsection (a) of this section, of any act to perfect, or to maintain or continue the perfection of, an interest in property to the extent that the trustee's rights and powers are subject to such perfection under section 546(b) of this title or to the extent that such act is accomplished within the period provided under section 547(e)(2)(A) of this title;

11 U.S.C. 363

e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

11 U.S.C. 503

a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.

b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including—

1)

A) the actual, necessary costs and expenses of preserving the estate including—

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

B) any tax—

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in

subparagraph (B) of this paragraph; and

D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

2) compensation and reimbursement awarded under section 330(a) of this title;

3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

A) a creditor that files a petition under section 303 of this title;

B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent,

and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

6) the fees and mileage payable under chapter 119 of title 28;

7) with respect to a nonresidential real property lease previously assumed under section 365, and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6);

8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred—

A) in disposing of patient records in accordance with section 351; or

B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

c) Notwithstanding subsection (b), there shall neither be allowed, nor paid—

1) a transfer made to, or an obligation incurred for the benefit of, an insider of the debtor for the purpose of inducing such person to remain with the debtor's business, absent a finding by the court based on evidence in the record that—

A) the transfer or obligation is essential to retention of the person because the individual has a bona fide job offer from another business at the same or greater rate of compensation;

B) the services provided by the person are essential to the survival of the business; and

C) either—

(i) the amount of the transfer made to, or obligation incurred for the benefit of, the person is not greater than an amount equal to 10 times the amount of the mean transfer or obligation of a similar kind given to nonmanagement employees for any purpose during the calendar year in which the transfer is made or the obligation is incurred; or

(ii) if no such similar transfers were made to, or obligations were incurred for the benefit of, such nonmanagement employees during such calendar year, the amount of the transfer or obligation is not greater than an amount equal to 25 percent of the amount of any similar transfer or obligation made to or incurred for the benefit of such insider for any purpose during the calendar year before the year in which such transfer is made or obligation is incurred;

2) a severance payment to an insider of the debtor, unless—

A) the payment is part of a program that is generally applicable to all full-time employees; and

B) the amount of the payment is not greater than 10 times the amount of the mean severance pay given to nonmanagement employees during the calendar year in which the payment is made; or

3) other transfers or obligations that are outside the ordinary course of business and not justified by the facts and circumstances of the case, including transfers made to, or obligations incurred for the benefit of, officers, managers, or consultants hired after the date of the filing of the petition.

11 U.S.C. 541

a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is—

A) under the sole, equal, or joint management and control of the debtor; or

B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title.

4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title.

5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date—

A) by bequest, devise, or inheritance;

B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

C) as a beneficiary of a life insurance policy or of a death benefit plan.

6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

7) Any interest in property that the estate acquires after the commencement of the case.

11 U.S.C. 542

a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

b) Except as provided in subsection (c) or (d) of this section, an entity that owes a debt that is

property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor.

c) Except as provided in section 362(a)(7) of this title, an entity that has neither actual notice nor actual knowledge of the commencement of the case concerning the debtor may transfer property of the estate, or pay a debt owing to the debtor, in good faith and other than in the manner specified in subsection (d) of this section, to an entity other than the trustee, with the same effect as to the entity making such transfer or payment as if the case under this title concerning the debtor had not been commenced.

d) A life insurance company may transfer property of the estate or property of the debtor to such company in good faith, with the same effect with respect to such company as if the case under this title concerning the debtor had not been commenced, if such transfer is to pay a premium or to carry out a nonforfeiture insurance option, and is required to be made automatically, under a life insurance contract with such company that was entered into before the date of the filing of the petition and that is property of the estate.

e) Subject to any applicable privilege, after notice and a hearing, the court may order an attorney, accountant, or other person that holds recorded information, including books, documents, records, and papers, relating to the debtor's property or financial affairs, to turn over or disclose such recorded information to the trustee.